■ প্রশ্ন কমনের প্রমাণ পত্র ■

প্রমাণপত্র : ২০২৪ সালের পুরাতন সাজেশন্স থেকে কমনকৃত প্রশ্নের হার ৯৮%।

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on- 18/01/2026)]

(Department of Management)

Subject Code : 232613

Subject Name : Management Accounting (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$
   (a) What is management accounting? *[অধ্যায়-০১ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
   (b) What is ethics? *[অধ্যায়-০১ এর ১৫ নং প্রশ্ন কমন পড়েছে]*
   (d) What is JIT? *[অধ্যায়-০২ এর ০৭ নং প্রশ্ন কমন পড়েছে]*
   (e) Elaborate : AICPA. *[অধ্যায়-০৩ এর ১৮ নং প্রশ্ন কমন পড়েছে]*
   (f) What is full costing? *[অধ্যায়-০৩ এর ০৮ নং প্রশ্ন কমন পড়েছে]*
   (g) What is standard? *[অধ্যায়-০৮ এর ১২ নং প্রশ্ন কমন পড়েছে]*
   (h) What is variance? *[অধ্যায়-০৮ এর ৩৩ নং প্রশ্ন কমন পড়েছে]*
   (i) What is production budget? *[অধ্যায়-০৬ এর ০৮ নং প্রশ্ন কমন পড়েছে]*
   (j) What is capital rationing? *[অধ্যায়-০৬ এর ২১ নং প্রশ্ন কমন পড়েছে]*
   (k) Define IRR. *[অধ্যায়-০৬ এর ১৯ নং প্রশ্ন কমন পড়েছে]*
   (l) What is markup. *[অধ্যায়-০৪ এর ০৬ নং প্রশ্ন কমন পড়েছে]*

Part-B

[Answer any **five** questions.] Marks : $4 \times 5 = 20$

2. "All future cost are relevant"—Explain. *[অধ্যায়-০৪ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
3. Show the difference between management accounting and cost accounting. *[অধ্যায়-০২ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
4. Write down the assumptions of cost volume profit analysis. *[অধ্যায়-০১ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
5. *[অধ্যায়-০২ এর Problem-01 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
6. *[অধ্যায়-০৪ এর Problem-06 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
7. *[অধ্যায়-০৬ এর Problem-22 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
8. *[অধ্যায়-০৮ এর Problem-01 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
9. *[অধ্যায়-০৩ এর Problem-09 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*

Part-C

[Answer any **five** questions.] Marks : $10 \times 5 = 50$

10. (a) Describe the role of management accounting in the decision making process in a business organization. *[অধ্যায়-০১ এর ০৩ নং প্রশ্ন কমন পড়েছে]*
    (b) Discuss the techniques of management accounting. *[অধ্যায়-০১ এর ০৯(ক) নং প্রশ্ন কমন পড়েছে]*
11. (a) "Budgetary control is a good tool of management"—Explain. *[অধ্যায়-০৬ এর ০৩ নং প্রশ্ন কমন পড়েছে]*
    (b) Discuss the causes of failure of budgetary control in Bangladesh. *[অধ্যায়-০৬ এর ০৪ নং প্রশ্ন কমন পড়েছে]*
12. (a) Differentiate between cash budget and flexible budget. *[অধ্যায়-০৭ এর ০৩ নং প্রশ্ন কমন পড়েছে]*
    (b) Discuss the various techniques of capital budgeting. *[অধ্যায়-০৬ এর ০৩ নং প্রশ্ন কমন পড়েছে]*
13. *[অধ্যায়-০৪ এর Problem-08 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
14. *[অধ্যায়-০৬ এর Problem-31 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
15. *[অধ্যায়-০৩ এর Problem-12 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
16. *[অধ্যায়-০৭ এর Problem-06 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
17. *[অধ্যায়-০৮ এর Problem-03 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*

National University

[BBA (Hon's) 3rd Year; Exam-2025 (Will be held-2026/27)]

Subject Code : 232613

Subject Name : Management Accounting (In English)

[Baticrom Final Suggestions]

ব্যবস্থাপনা বিভাগের ছাত্রছাত্রীদের জন্য

Chapter 01 Introduction to Management Accounting

(ব্যবস্থাপনা হিসাববিজ্ঞান পরিচিতি)

Part-A : Brief Questions & Solutions :

০০০ 01. **What is accounting?**
Ans : Accounting is an information system that identifies record and communicates the economic events of an organization to interested users.

০০ 02. **What is the elaboration of IMA?**
Ans : The elaboration of IMA is Institute of Management Accountants.

০০০ 03. **What is financial accounting?**
Ans : Financial accounting is the process of recording all the transactions of the business for reporting and analysis.

*04. **Elaborate : AICPA. [২০২৪ সালে যা এসেছিল]***
Or, What is the full meaning of AICPA?
***Ans :** American Institute of Certified Public Accountants.*

*05. **Define management accounting. [২০২৪ সালে যা এসেছিল]***
Or, What is management accounting?
[Test Exam : Suharawardy, Edenm Titumir, Nuzrul, Rajendro & Debendra College;N.U. 2020(Acc.); 2019, 2021, 2024 (Mgt.); 2017, 2019, 2021 (Finance)]
***Ans :** Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.*

০০০ 06. **Who is treasurer?**
Ans : The high-ranking official who controls the financial matters of an organization is called treasurer.

০০০ 07. **What is cost accounting?** 99% *[N.U. 2022 (Mgt.]*
Ans : Cost accounting is the branch of accounting dealing with the classification, recording, allocation, summarization and reporting of current and prospective cost.

০০০ 08. **Elaborate GAAP.** 99% *[N.U. 2018, 2020 (Mgt.]*
Or, What do you mean by GAAP?
Ans : The meaning of GAAP is– Generally Accepted Accounting Principles.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 09. **What are the three major deviation of accounting?**
Ans : The three major deviation of accounting are–
(i) Financial Accounting.
(ii) Cost Accounting.
(iii) Management Accounting.

০০ 10. **What is management audit?**
Ans : Management audit is a review of determine whether the policies and procedure specified by the top managers have been implemented.

০০০ 11. **What is the elaboration of "ICAB"?** 99%
[N. U. 2021 (Acc.)]
Ans. The elaboration of ICAB is "Institute of Chartered Accountants of Bangladesh."

০০ 12. **What is management counseling?**
Ans : Management counselling is an area of public accounting that involves financial planning, control and the development of accounting system.

০০০ 13. **Who is management accountant?**
[N.U. 2012 (Old); 2017 (Mgt.)]
Ans : Management accountant is a person who gathers economic and financial information from business environment and applies it within the organization.

০০০ 14. **What is meant by value chain?** 99%
[N.U. 2020 (Acc.); 2017 (Mgt.); 2021 (Finance)]
Or, What is value chain?
Ans : Value chain is the set of business functions that add value to the products or services of an organization.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

15. *What is ethics? [২০২৪ সালে যা এসেছিল]*
[N.U. 2024 (Mgt.); 2019 (Acc.)]
Or, What do you mean by ethics?
Ans : *The standards of conduct by which one's action are judged as right or wrong, honest or dishonest, fair or unfair.*

ooo 16. **What is business ethics?** 99% *[N. U. 2021 (Acc.)]*
Ans. Business ethics refers to the standards of conduct or moral behaviour that apply to business practices.

oo 17. **What is the full meaning of CIM?**
Ans : The full meaning of CIM is Computer Integrated Manufacturing.

ooo 18. **What is decision-making?**
Ans : Decision-making process is the act of selecting one alternative from a set available of alternatives.

ooo 19. **What is budget?**
Ans : Budget is a quantitative expression of a plan of action, and an aid to coordinating and implementing the plan.

ooo 20. **What is management process?** 99% *[N.U. 2023 (Mgt.)]*
Ans : The management process is one of the methods that aids in structuring, investigating, analyzing, decision making and communicating business issues.

ooo 21. **What is performance report?**
Ans : A performance report is a feedback provided by comparing result with plans and by highlighting variance.

ooo 22. **What do you mean by product life-cycle?** *[N.U. 2020 (Finance)]*
Or, What is product life cycle? 99%
Ans : The product life cycle is defined as the period that start with the initial product design and ends with the drawl of the product from the market place.

ooo 23. **What is meant by benchmarking?**
Ans : Benchmarking is the study of organizations that are among the best in the world at performing a particular task.

oo 24. **What are the stages of product life cycle?**
Ans : Product life cycles are:
(i) Introducing stage.
(ii) Growth stage.
(iii) Maturity stage.
(iv) Decline stage.

ooo 25. **Elaborate : ICMAB.** 99% *[N.U. 2016, 2019 (Acc.); 2017, 2019, 2020, 2023 (Mgt.); 2019 (Finance)]*
Or, What is the elaboration of ICMAB?
Ans : The elaboration of ICMAB is Institute of Cost and Management Accountants of Bangladesh.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 26. **What is meant by cost-benefit balance?**
Ans : Cost-benefit balance involves weighing estimated costs against probable benefits and it is the primary consideration when choosing among accounting system and methods.

ooo 27. **What is management consulting?** 99% *[N.U. 2018 (Acc.)]*
Ans. Management consulting is professional acts, that given necessary guidelines to the managers to achieve organizational goals.

ooo 28. **Is sunk cost relevant for decision making?** *[N.U. 2019 (Finance)]*
Ans. Sunk cost is not relevant for management decision-making because, it is a historical cost that does not differ between alternatives.

Part- B & C (Short & Broad Questions) :

ooo 01 **(a) What is meant by management accounting?** 99% **[Ans 150 Page 1.01 No.]** *[Test Exam : Eden & Edward College; N. U. (Finance)-2016, 2017; 2023 (Mgt.)]*
Or, Define management accounting.
(b) How does management accounting assist the management of business concern? 99%
[Ans: 154 Page 1.14 No.] *[N.U. (Mgt.) -2015, 2019, 2023]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo 02. Define management by exception (MBE). **[Ans: 150 Page 1.02 No.]** *[Test Exam : Debendra College; N.U. (Old) -2013; Accounting-2016; (Finance)-2018]*
Or, What do you mean by management exception?

oo 03. Briefly describe the prospect of management accounting profession in Bangladesh. **[Ans: 161 Page 1.32 No.]** *[N.U. (Finance) 2019; 2017 (Mgt.)]*
Or, Is management accounting a profession? Discuss.

ooo 04. Discuss the importance of ethics in management accounting. **[Ans: 152 Page 1.07 No.]** *[N.U. (Mgt.) -2019]*

ব্যবস্থাপনা হাইলাইটস (৪র্থ খণ্ড) বইয়ের

05 **(a) Show the difference between financial accounting and management accounting.** 99%

[Ans: 158 Page 1.13 No.] *[Test Exam : Eden, Dhaka Titumir, Pangsa, satkira, Edward, B.m, & Debendra College; N.U.BBA (Old) -2012;(Acc.) -2016; (Mgt.) -2017, 2018, 2020; (Finance)-2018; D.U. BBA (Mgt.) -2017]*

Or, What are the differences between management accounting and financial accounting?

Or, How does management accounting differ from financial accounting.

Or, Distinguise between management accounting and financial accounting.

(b) Discuss the product life cycle management and the different stages of the product life cycle. 99%

[Ans: 160 Page 1.30 No.] *[N.U.BBA (Old) -2014, Acc-2016; (Mgt.) -2018, 2020]*

Or, What is meant by product life-cycle management? State the stage of product life-cycle.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

06. **Discuss the importance of ethics in business.** 99% **[Ans: 153 Page 1.09 No.]** *[N.U.2023 (Mgt.)]*

07. Discuss the role of management accounting. **[Ans: 153 Page 1.11 No.]** *[N. U. (Finance) 2018; (Mgt) 2021]*
Or, Briefly discuss the importance of management accounting.

08. Explain the limitations of management accounting. **[Ans: 152 Page 1.06 No.]** *[N.U.BBA 2022 (Mgt.)]*

09. **Why do students of management need to study management accounting?** 99% **[Ans: 158 Page 1.12 No.]** *[N.U.BBA (Mgt.) 2018, 2022]*

10 **Which consideration should be considered to face with a make or buy decision?** 99% **[Ans: 160 Page 1.29 No.]** *[N.U. BBA- (Old) -2012; (Finance) 2016; (Mgt.) 2016, 2022, 2023; D.U.(Acc.) -2016, 2017]*

Or, What factors will you consider at the time of "Make or Buy" decision?

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

3. *Show the difference between management accounting and cost accounting.* **[Ans : Page No. 155; Ques. No. 1.15]** *[N.U. (Finance) 2016, 2017, 2019; (Mgt) 2021, 2024]*

Or, Differentiate between management accounting and cost accounting.

Or, Write down the differences between cost accounting and management accounting.

10. (a) *Describe the role of management accounting in the decision making process in a business organization.* **[Ans : Page No. 158; Ques. No. 1.24]**
[Test Exam : Eden, Jessore city, carmichael, Rajshahi College; N.U.BBA (Old) -2005, 2008, 2009, 2014; (Mgt.) -2016, 2018; (Finance)-2016, 2018; (Mgt.) 2016, 2018, 2024 ;(Acc.) -2017]

Or, Discuss the role of management accounting in the decision making process in the business

Or, Describe the role of management accounting in the decision making process in a business organization.

(b) *Discuss the techniques of management accounting.* **[Ans : Page No. 153; Ques. No. 1.10]** *[N. U. (Old) -2010; (Finance)-2018;(Acc.) -2017; (Mgt.) -2016, 2022, 2024]*

Or, Discuss the various techniques of management accounting.

Or, Discuss the tools of management accounting.

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 01, 05, 09 & 10 No. Questions in are most important for the Examinee of 2025.*** ***..... Editor***

Chapter 02 Cost Concepts and Classifications
(ব্যয়ের ধারণা এবং শ্রেণিবিন্যাস)

Part-A : Brief Questions & Solutions :

01. **What do you mean by expenses?**
[Test Exam : Debendra, M. B. Commence & Eden College; N.U. 2017(Acc.)]
Ans : Expenses is a part of cost which is expired and deductible from revenue.

02. **What do you mean by cost concept?**
[N.U. 2017(Acc.)]
Ans : Cost is a forgoing measured in monetary terms, that is incurred or potentially incurred to achieve a specific objective.

03 **What is prime cost?** 99%
[Test Exam : Eden, M.M. Edward College; N.U. 2012 (Old); 2020 (Acc.); 2016, 2018, 2022 (Mgt.); 2021 (Finance)]
Or, Define the prime cost.
Ans : Prime cost is the combined form of direct materials, direct labour and direct expenses.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 04. **Mention the two elements of cost.** 99%
Or, What are the elements of prime cost?
Or, What are the elements of cost?
[N.U. 2016, 2017, 2020, 2021 (Acc.); 2019, 2020 (Mgt.); 2018 (Finance)]
Ans : The elements of cost or prime cost are: a. Material, b. Labour.

ooo 05. **Define differential cost.** 99%
[N.U. 2020 (Acc.); 2017 (Finance); 2021 (Mgt.)]
Or, What is differential cost?
Ans : A difference in cost between two alternatives is called a differential cost.

ooo 06. **What do you mean by administrative overhead?**
Ans : All executive, organizational and clerical costs associated with the general management of an organization is called administrative overhead.

07. What is incremental cost? [২০২৪ সালে যা এসেছিল] *[N.U. 2019 (Finance)] 2024 (Mgt.)]*
Ans : An increase in cost between any two alternatives is called incremental cost.

oo 08. **What is the marketing and selling overhead?**
Ans : Sales and marketing overheads are costs incurred in the marketing of a companies products or services to potential customers.

ooo 09. **What is cost statement?** *[N.U. 2015 (Old); 2018 (Mgt.)]*
Ans : The statement that shows all the costs related to cost of production is called cost statement.

ooo 10. **What is cost center?** *[N.U. 2021 (Acc.)]*
Ans : Cost center is a segment of a company that has a control over generating revenue or the use of investment of funds.

ooo 11. **What is cost behavior?** 99%
[N.U. 2015(Old); 2017, 2022 (Mgt.)]
Or, What is meant by cost behavior?
Ans : The way which a cost will react or respond to changes in the level of business activity is called cost behavior.

ooo 12. **What is the direct costing?**
Ans : A cost that can be obviously and physically traced to a unit of product or other organization segment.

oo 13. **What do you meant by work-in-progress?**
Ans : Goods that are only partially completed as to manufacturing at the beginning or end of a period and that will need further work before being ready for sale to a customer.

ooo 14. **What is period cost?** 99% *[N.U. 2020 (Finance)]*
Or, What is the periodic cost?
Ans : All costs that are matched against revenue on a time period basis; such costs consist of selling (marketing) and administrative expenses is called periodic cost.

ooo 15. **What is product cost?** 99%
[N.U. 2020 (Acc.); 2019 (Finance); 2021 (Mgt.)]
Ans : All costs that are involved in the purchase or manufacture of goods are called product costs.

ooo 16. **What is conversion cost?** 99% *[N.U. 2012, 2014 (Old); 2016 2019 (Acc.); 2018 (Fin); 2018, 2023 (Mgt.)]*
Ans : Conversion cost is the combined form of direct labour and manufacturing overhead.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 17. **What is controllable cost?**
Ans : A cost is controllable at a particular level of management if that level has the power to authorize the cost.

ooo 18. **What is uncontrollable costs?**
Ans : Uncontrollable costs are costs chargeable to a cost center that cannot be influenced by the action of the person responsible for controlling that center.

oo 19. **What is indirect cost?**
Ans : The cost that cannot be easily and conveniently traced to the particular cost object is called indirect cost.

ooo 20. **What is incremental cost?**
Ans : An increase in cost between two alternatives is called incremental cost.

oo 21. **What is cost of goods manufactured?**
Ans : The materials, labor and overhead costs that have gone into the products produced during a period are called the cost of goods manufactured.

ooo 22. **What is finished goods?**
Ans : Goods that are complicated as to manufacturing but not yet sold to customers is called finished goods.

ooo 23. **What is manufacturing overhead?** 99%
[N.U. 2015 (Old)]
Ans : All costs associated with the manufacturing process except direct materials and direct labour are called manufacturing overhead.

ooo 24. **What is direct materials?**
Ans : The materials that became an integral part of a finished product and can be directly traced to it are called direct materials.

ooo 25. **What is direct labor?**
Ans : Those factory labor costs that can be easily traced to individual units of product are called direct labour costs.

ooo 26. **What is the indirect labor?**
Ans : The factory labor cost of janitors, supervisors, engineers and others that cannot be traced directly to the creation of products in a "Hands on" manner are called indirect labour.

০০ 27. **What is the indirect material?**

Ans : Indirect materials are those materials which cannot be conveniently identified with individual cost units.

০০০ 28. **In which case, more net profit arise in variable costing?** *[N.U. 2017 (Mgt.)]*

Ans. More net profit arises under variable costing when there is a decrease in inventory levels because only variable manufacturing costs are included in the cost of the product. So, fixed manufacturing overhead is treated as a period cost and expense in full during the period.

০০০ (29) **What is opportunity cost?** 99%

[N.U. 2013, 2015, 2019 (Acc.); 2016, 2020, 2022 (Mgt.); 2016, 2020 (Finance)]

Ans : Opportunity cost is the cost of choosing or not choosing one investment plan or an operation over another.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ (30) **What is sunk cost?** 99% *[N.U. 2012, 2014, 2015(Old); 2017, 2019 (Acc.); 2016, 2018, 2021, 2023 (Mgt.); 2021 (Finance)]*

Ans : Sunk cost is the cost that has already been incurred and that cannot be changed by any decision made now or in the future.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

Part-B & C (Short & Broad Questions):

০০০ 01. (a) Discuss the cost concept? **[Ans: ব্যবস্থাপনা ইন্ডিপেন্স (৪র্থ খণ্ড) বইয়ের 167 Page 2.18 No.]**

Or, Define cost concept.

(b) Show the difference between product cost and period cost. **[Ans: 167 Page 2.17 No.]**

০০০ 02. **Briefly describe the elements of cost of a manufacturing concern.** 99% **[Ans: 168 Page 2.19 No.]**

[Test Exam- Anandamohan, Thakurgan, Tongi, Pangsna, Rajendra, Rajshahi College; N.U. (Old) -2015]

০০ 03. Discuss the cost classification of decision making. **[Ans: 169 Page 2.24 No.]** *[N.U.(Acc.) -2016]*

০০০ 04. (a) Show the classification of cost. **[Ans : Page No-170; Ques No-2.25]**

(b) Show the difference between direct materials and indirect materials. **[Ans : Page No-164; Ques No-2.04]**

০০০ 05. **Discuss the objectives of preparing cost sheet.** 99% **[Ans: 165; Page 2.07 No.]**

[N. U. BBA (Mgt.) 2019; (Finance) 2019]

০০ 06. Explain the different elements of cost. **[Ans: 169 Page 2.22 No.]** *[N. U. (old) 2015; (Mgt.) 2020]*

০০০ (07) **Show the differences between expenditure and expense. [Ans: 166 Page 2.15 No.]** *[N.U. 2016, 2023 (Mgt.)]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০ 08. Define variable and fixed cost. **[Ans: 166; Page 2.14 No.]** *[N.U. (Mgt.) 2019]*

Or, What do you mean by variable and fixed cost.

০০০ 09. **"Fixed cost per unit is variable but variable cost per unit remains fixed."— Explain.** 99% **[Ans: 173 Page 2.36 No.]** *[N. U. (Mgt.) 2020]*

০০০ 10. Show the difference between fixed cost and variable cost. **[Ans: 165 Page 2.09 No.]**

[Test Exam : Eden, Debendra, Rafiqual, Islam mohila, Rajshahi, chadaga College]

০০ 11. Distinguish between cost and expense. **[Ans: 165 Page 2.10 No.]** *[N. U. BBA (Mgt.) -2022]*

০০০ (12) **Discuss the classification of costs predicting to cost behavior. [Ans: 172 Page 2.30 No.]**

Or, Classify cost on the basis of significance and behavior. *[N.U. BBA (Old) -2013; (Mgt.) -2018, 2023]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

2. *"All future cost are relevant"—Explain.* **[Ans : Page No. 173; Ques. No. 2.35]** *[N.U. 2024 (Mgt.)]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 07, 09 & 12 No. Questions in are most important for the Examinee of 2025. ..... Editor***

Easy Math Basic Problem : Category-B & C

○○○ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2021 No–6**

Using the following information prepare a statement of Quoted/Tender price :
Percentage of factory overhead on labor = 25%
Percentage of office overhead on factory cost = 20%
Percentage of profit on sales = 25%
Direct material Tk. 5,000 and direct labor Tk. 7,000.

Solution : ব্যবস্থাপনা সাজেশন্স (৪র্থ খণ্ড) বইয়ের ১৭৭ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

☒☒ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–5**

From the following data calculate cost of closing inventory of direct material :

Accounts titles	Taka
Opening stock of direct material	20,500
Purchases of direct material	71,200
Carriage inward	9,100
Purchase return	14,200
Further purchase of direct material	5,200
Raw material (direct) consumed	71,910

Solution : ৫৪১ পৃষ্ঠার **Question No-5** নং প্রশ্নের উত্তর দেখুন।

○○ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management 2018 No–06**

From the following relevant information prepare a cost sheet :

Direct materials	Tk. 1,20,000
Direct labor	70% of materials
Factory on cost	40% of labor
Office on cost	70% of factory on cost
Selling on cost	40% of office on cost
Profit	20% of sales

Solution : ১৭৮ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

○○○ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–03; (Finance) 2016 No–05; (Mgt) 2021 No–4; MBA Preli (Mgt.) 2018 No–06**

As a cost accountant of Evan Fabrics/Meena Ltd /From the following relevant information, prepare a cost sheet:

Direct materials	Tk. 1,00,000
Direct labour	80% of material
Factory on cost	50% of direct labour
Office on cost	75% of factory on cost
Selling on cost	50% of office on cost
Profit	25% of sales

Required :

(1) Prime cost
(2) Factory cost
(3) Cost of production
(4) Cost of sales
(5) Sales
(6) Percentage of total cost of sales on sales.

Solution : ১৭৯ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2020 No– 05**

Amazon Company produces radios for cars. The following cost information is available for the period ended December 31, 2019 :

Materials put into production Tk. 1,20,000, of which Tk. 80,000 was for direct materials. Factory labour costs for the period Tk. 90,000, of which Tk. 25,000 was for indirect labour. Factory overhead costs for utilities Tk. 40,000. Work-in-process beginning and ending value were Tk. 12,000 and Tk. 20,000 respectively.

Required : Calculate cost of goods manufactured (show prime costs and total manufacturing costs in your calculations).

Solution : ১৮০ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) (Old) 3rd 2012 No–02; (MBA Prêli.) (Management) 2018 No–11**

The following data are related to the Tazin company/Imtenhan Company :

	Ending	Beginning
	Taka	Taka
Finished goods	95,000	1,10,000
Work-in-process	80,000	70,000
Direct materials	95,000	90,000

Cost incurred during the period :	Taka
Cost of goods available for sales	6,84,000
Total manufacturing cost	5,84,000
Factory overhead	1,67,000
Direct materials used	1,93,000

Required :

(i) Direct labour cost;

(ii) Direct materials purchased during the period;

(iii) Cost of goods sold.

Solution : ১৮২ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2023 No–5**

Maryam Ltd. Provided the following data for January 2022;

Accounts titles	Inventories	
	Beginning (Tk.)	Ending (Tk.)
Direct materials	60,000	1,10,000
Work-in-process	75,000	95,000
Pinished goods	1,90,000	1,15,000
Cost incurred during the period :		**Tk.**
Cost of goods available for sales		10,25,000
Total manufacturing cost		8,55,000
Factory overhead		2,05,000
Direct material used		2,50,000

Required : (i) Direct labour cost; (ii) Direct materials purchased during the period.

Solution : ১৮১ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০০ **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No–02; (Finance) 2018 No–05; (Mgt.) 2019 No– 05; D.U. BBA (Hon's) 3rd Accounting 2016 No–02**

Sun Moon Ltd./Moon star Company provided the following data for May, 2014:

Sales	Tk. 72,000
Marketing expense	Tk. 36,000
Administrative expense	Tk. 72,000
Others expense	Tk. 360
Purchase	Tk. 36,000
Factory expense	Tk. 10,000
Direct labor	Tk. 15,000

Inventories :	Beginning (Tk.)	Ending (Tk.)
Finished goods	7,000	10,200
Work in process	8,000	15,000
Materials	8,000	8,500

Required : Cost of goods manufactured.

Solution : ১৮৪ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2022 No–6**

Aman Ltd. prokides the following data for December 2020 :

Sales Tk. 72,000, Marketing expenses Tk. 3,600, Administrative expense Tk. 72,000, Other expense Tk. 360, Purchase of raw materials Tk. 35,000, Factory expense Tk. 10,000, Direct labour Tk. 15,000.

Inventories	Beginning Tk.	Ending Tk.
Finish goods	7,000	10,200
WIP	8,000	15,000
Materials	10,000	9,500

Required : Calculate cost of goods manufactured.

Solution : ১৮৫ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০০ **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 03**

The S.M. Ltd. a manufacturing company prepare a monthly cost sheet. The following data, finalize cost sheet for the month of May, 2019 has been accumulated by cost accountant.

(i) Inventories :

Raw materials : On 01-05-2019 Tk. 50,000 representing 5% total materials purchased at FOB. Freight was Tk. 1,00,000. On 31-05-2019 Tk. 1,50,000.

Work-in-process : on 01-05-2019 Tk. 4,50,000; on 31-05-2019 Tk. 6,00,000. Finished goods : on 01-05-2019 Tk. 25,000 unit at Tk. 40; on 31-05-2019 Tk. 18,750 units

The company keeps perpetual inventory cards and follows average method of inventory valuation.

(ii) Direct labour cost represents 80% of direct material cost.

(iii) Factory overhead application rate is 75% of prime cost.

Required : Statement of cost of goods sold showing cost of goods manufactured.

Solution : ১৮৫ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd 2013 No–10; (Accounting) 2020 No– 11; 3rd (Finance) 2016 No–11; 2020 No– 13**

The Surma Company/The Apex Company produce different types of leather goods. The sales revenue for the year Tk 12,00,000. The cost related different information's during the year were as follows:

Account Titles	Taka
Raw material purchased	50,000
Freight in	2,000
Opening work-in-process	80,000
Opening finished goods	40,000
Opening raw materials	2,50,000
Closing work-in-process	70,000
Closing finished goods	60,000
Closing raw materials	60,000
Productive wages	1,70,000
Chargeable expense	50,000
Factory overhead	2,50, 000
Selling expense	40,000
General and administrative expense	10,000
Sale of scrap	5,000

Prepare a statement showing the following :

(i) Raw material used; (ii) Prime cost; (iii) Cost of manufacturing; (iv) Cost of goods manufactured; . (v) Cost of goods available for use; (vi) Cost of goods sold; (vii) Cost of sales; (viii) Profit or loss.

Solution : ১৮৭ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–10(b)**

The cost of production related information of Rahima Ltd. are given below :

Account Titles	01-01-2014	31-12-2014
Raw materials	10,000	12,000
Work-in-rocess	20,000	15,000
Finished goods (120 units)	30,000	
Additional information :		Taka
Purchase of raw material		1,60,000
Direct wages		1,20,000
Factory overhead		85,500
Sales (1,500 units including opening inventory)		4,50,000

Closing finished goods 80 units, administrative expense 20% of factory overhead and selling expense 5% on sales. You are required to calculate units of goods produced and value of ending inventory. Draw up a statement of cost showing the COGS and profit.

Solution : ১৮৯ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management 2018 No–11; (MBA Preli.) (Management) 2017 No–2(c)**

The following are the information from records of Haque and Company/ Star and Company for six months ended on 30th June, 2018 :

Account Titles	Taka
Raw materials	18,000
Direct labour	11,000
Indirect labour	5,000

Factory supplies	1,000
Salaries	9,000
Others factory expense	2,500
Miscellaneous selling expense	2,000
Administrative expenses	1,500

Depreciation (75% relates to manufacturing, 15% administrative and 10% selling and distribution) value of assets as on 1st January, 2018 was Tk. 4,00,000 @ 5% per annum is to provided $\frac{2}{3}$ of salary is for office and the balance of sales. Total 5,000 units produced and sold during the six months. Selling price per unit is Tk. 16. Prepare a statement showing the total cost of sales and profit earned during the year

Solution : ১৯৪ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2016 No–07**

The following data relates to the Fahim Manufacturing Co. of a standard product during four weeks period of June 30,2016 :

Raw material consumed	Tk. 4,000
Wages	Tk. 6,000
Machine hours worked 1,000 hours	
Machine hour rate	Tk. 0.50
Office overhead : 20% on works cost	
Selling overhead per unit	Tk. 0.06

Units produced : 20,000 units
Units sold : 18,000 units @ Tk. 1.00 per unit.
You are required to prepare a statement of total cost of goods sold and an income statement.

Solution : ১৯৭ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2016 No–11**

The cost department of the Swagata Corporation made the following data and costs available for the year 2016 :

Account Titles	Inventories	
	January 1	December 31
Raw materials	34,200	49,300
Work-in-process	81,500	42,350
Finished goods	48,600	?
Depreciation on factory equipment	21,350	
Interest earned		6,300
Raw materials purchased		3,64,000
Direct labour		1,62,500
Indirect labour		83,400
Freight in		8,600
Miscellaneous factory overhead		47,900
Purchased discounts		5,200

Finished goods inventory : January 1 : 300 Units ; December 31 : 420 units, all from current years production.
Sold during 2016 : 3,880 units @ Tk. 220 per unit.

Required :

(i) Statement of cost of goods sold:
(ii) Income statement.

Solution : ২০২ পৃষ্ঠার **Problem-33**.নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 11**

The books of Walton Manufacturing Company engaged in assembling refrigerators, show the following information for the six months ended June 30, 2021.

Raw materials purchase	20,82,500
Inventory June 1, 2021	
Raw materials	2,50,000
Finished goods (50 refrigerators)	41,200
Direct labour	20,50,000
Factory overhead	8,16,300
Selling expense	4,28,000
General and administrative expense	4,96,000
Sales (6,000 refrigerators)	63,60,000
Inventory June 30, 2021	
Raw materials	1,50,000
Finished goods 250 refrigerators	
No unfinished work on hand.	

You are required to calculate :

(a) A statement cost of goods manufactured.

(b) The number of units manufactured.

(c) The unit of refrigerators manufactured.

(d) The profit per unit sold.

Solution : ২০৩ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old)-2014 No–10; (Finance) 2018 No–13**

A manufacturing company produces bicycles. The company had 260 units of opening inventory costing Tk. 700 per unit in 2017.

During the year 2014 the company sold 2,150 bicycles at a gross profit of 20% on sale. cost of material per unit was Tk. 420 Direct labour cost per bicycle was 40 hours at Tk. 4 per hour. Factory overhead was charged at Tk. 5 per direct labour hour. Administrative and selling expense amounted to Tk. 1,20,000. The finished inventory at close was 110 units.

Prepare :

(i) Statements of cost of goods sold;

(ii) Income statement.

Solution : ২০৫ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–16**

A factory produces and supplies goods according to customers' specification. From the following particulars for the year 2020 prepare a statement of cost :

Inventory of raw materials (January 1, 2020)	Tk. 25,000
Inventory of finished goods (January 1, 2020)	Tk. 50,000
Inventory of raw materials (December 31, 2020)	Tk. 37,500
Inventory of finished goods (December 31, 2020)	Tk. 30,000

Purchase of raw materials	Tk. 1,62,500
Direct wages	Tk. 1,00,000
Factory overhead	Tk. 62,500
Office and administrative overhead	Tk. 31,250
Sales	Tk. 4,00,000

The factory is about to send a tender for supply of machine. The costing department estimates that the materials required would cost Tk. 60,000 and direct wages would cost Tk. 40,000. Factory overhead is charged at a percentage on prime cost and office and administrative overhead is charged at a percentage on factory overhead.

Compute the price of the tender to earn a profit of 20% on total cost.

Solution : ২১০ পৃষ্ঠার **Problem-39** নং প্রশ্নের উত্তর দেখুন।

০০০ Problem-19 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd (Mgt) 2023 No–12

Sahal Ltd. manufactures two types of product A and B. The cost data for the year ended December 31, 2022 is as follows :

Account titles	Taka
Direct materials	12,00,000
Direct labor cost	6,80,000
Production overhead	2,10,000
	20,90,000

Other data :

Account titles	Product A	Product B
Production	60,000 units	1,50,000 units
Sales	50,000 units	1,30,000 units
Selling price per unit	Tk. 30	Tk. 10
Materials use ratio per unit	5	2
Wages ratio per unit	2	1

Production overhead was the same rate per unit for both types.
Administrative overhead for each was 100% of direct wages.
Marketing expenses were Tk. 1.00 per unit for both types.
Required : (i) Cost of goods sold statement; (ii) Income statement for each type of product.

Solution : ২০৭ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০০ Problem-20 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd Acc. 2015 No–11; 3rd (Mgt) 2022 No–13

The folfowing data relate of XYZ Ltd/ABC Company :

Account Titles	Taka
Inventory of finished goods 01-01-2014	72,800
Inventory of raw materials-01-01-2014	33,280
Purchase of raw materials	7,59,200
Productive wages	5,16,880
Sales of finished goods	15,39,200
Inventory of finished goods 31-12-2014	78,000
Inventory of raw materials 31-12-2014	35,360
Work manager's salary	50,000
Indirect wages	30,000
Fuel	15,000
Depreciation of plant	15,000

Indirect raw materials	10,000
Tools used in production	9,220
Administrative expense	30,161
Salary to the managing director	40,000

Required :

(i) Prepare a cost sheet for the year.

(ii) Compute total cost of a plant and find out the price of a tender for another plant to be submitted. It is estimated that the cost of raw materials required for the tender will be Tk. 52,000 and direct wages Tk. 31,200. The tender is to be made at a profit of 20% on selling price.

Solution : ২০৮ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo **Problem-21** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2017 No– 11; D.U. BBA (Hon's) 3rd (Accounting) 2020 No– 2(b)**

The following figures are available from the books of M/S Sandeep Enterprise for the year ended 31st December. 2015 :

	Taka
Materials stock on 1-1-2015	1,000
Materials stock on 31-12-2015	2,000
Materials purchased during 2015	10,000
Wages	7,500
Factory overhead	4,500
Administrative overhead	4,200
Selling overhead	5,250
Profit for the year	6,090

In the year 2016 the factor, receives an order for a job which will require materials Tk. 1,200 and wages Tk. 750. The management of the enterprise intends to earn a profit 10% higher than the percentage of profit earned in 2015 and assume that the factory overhead has gone up by 15% and selling and administrative overhead has gone down by 20% in 2016. Further assume that factory overhead is recovered as a percentage of wage and selling and administrative overheads as a percentage of works cost.

Required :

(i) Prepare a cost sheet for 2015;

(ii) Ascertain the sales price of the job order received in 2016.

Solution : ২১১ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-22** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2022 No–12(b)**

Find the missing figure from the following information :

SL	Direct material used	Direct labor	Factory overhead	Manufacturing cost
1	?	5,000	10,000	50,000
2	40,000	5,000	?	50,000
3	50,000	?	10,000	75,000
4	20,000	2,000	3,000	?

Solution : ১৮১ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

Chapter 03 Absorption and Variable Costing
(গ্রসন এবং পরিবর্তনশীল ব্যয়)

Part-A : Brief Questions & Solutions :

০০০ 01. **What is variable cost? 99% (পরিবর্তনশীল ব্যয় কী?)** *[N.U. 2020 (Mgt.)]*

Ans : A cost that varies in total, in direct proportion to change in the level of activity is called variable cost.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 02. **Which costing method is used for external reporting?** *[N.U. 2017 (Mgt.)]*

Ans : Absorption costing is used for external reporting.

০০ 03. **What is the periodic cost?** *[N.U. 2020 (Finance)]*

Ans : All costs that are matched against revenue on a time period basis; such cost consist of selling (marketing) and administrative expenses.

০০০ 04. **Which costing method is also known as 'Full costing'? 99%** *[N.U. 2014 (Old); 2018 (Mgt.)]*

Ans : Absorption costing is also known as full costing.

০০ 05. **What is inventory? (মজুদ পণ্য কী?)**

Ans : Inventory is the part of product cost that has not yet been sold and is shown an asset on the balance sheet.

০০০ 06. **What is fixed cost? 99%** *[N.U. 2016 (Mgt.)]*

Ans : A cost that remains constant in total, regardless of change in the level of activity.

০০ 07. **Which costing is also known as "Direct costing"?** *[N.U. 2017 (Finance)]*

Ans : Variable costing is also known as direct costing.

08. What is full costing? [২০২৪ সালে যা এসেছিল]

***Or, Define absorption costing.** [Test Exam : Dhaka, Eden & Titumir College; N.U. 2019, 2021 (Acc.); 2021 (Finance); 2022, 2024 (Mgt.)]*

Or, What is absorption costing?

Or, What do you mean by absorption costing?

***Ans :** A costing method that includes all manufacturing cost-direct materials, direct labour and both variable and fixed manufacturing overhead in the cost of a unit of product.*

০০ 09. **What is inventorial cost?** *[N.U. 2018 (Acc.)]*

Ans : All costs that are involved in the purchase of manufacture of goods. In the case of manufactured goods, these costs consist of direct materials, direct labour and manufacturing overhead costs used in the production process.

০০০ 10. **Whát do you mean by cost of goods sold?**

Ans : In the period of sales, the product costs are recognized as an expense called cost of goods sold.

০০০ 11. **What is throughput? (অতি পরিবর্তনশীল ব্যয় কী?) 99%**

Or, What is super variable costing?

Ans : The total volume of production through a facility during a period is called throughput.

০০০ 12. **What is segment reporting?**

Ans : An income statement or other report in an organization in which data are divided according to product line, division, territories or similar organizational segments.

০০ 13. **What is common fixed cost? (সাধারণ স্থায়ী ব্যয় কী?)**

Ans : A common fixed cost is a fixed cost that supports the operation of more than one segment of a business but cannot be directly traced to any single segment.

০০০ 14. **What is normalized overhead rate?**

Ans : A rate based on the average activity of many past and present periods rather than only on the expected activity of the current period.

০০০ 15. **What is traceable fixed cost? (চিহ্নিত স্থায়ী ব্যয় কী?) 99%** *[N.U. 2018 (Acc.)]*

Ans : A cost that can be identified with a particular segments and that arises because of the existence of that segment.

০০০ 16. **What is segment margin? 99%** *[N.U. 2020 (Finane)]*

Ans : Segment morgin is the amount remaining from the sales of a segment after it has covered all of its own variable and fixed costs.

০০ 17. **What is operating income?**

Ans : Operating income is measure of profitability that tells investors how much revenue will be eventually become profit for a company after covering oprating expenses.

18. What do you mean by just-in-time? [২০২৪ সালে যা এসেছিল]

[N.U. 2017 (Acc.); 2017, 2020 (Finane); 2024 (Mgt.)]

Or, Define just-in-time.

Or, What is JIT?

***Ans.** JIT is production and inventory control system in which materials are purchased and units are produced only as nedded to customer demand.*

ooo 19. **What do you mean by business segment?** *[N.U. 2016 (Finane)]*

Ans : Business segment means each of the parts into which somethings is or may be divided price, section part, portion division etc.

oo 20. **Write down the formula of budgeted production volume.** *[N.U. 2017 (Finane)]*

Ans. (Actual units produced – budgeted units produced) × Budgeted overhead rate = Budgeted production volume.

ooo 21 **Elaborate : JIT.** 99% *[N.U. 2022 (Management)]*

Ans. Just in Time.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

Part- B & C (Short & Broad Questions) :

oo 01. Discuss the limitation or disadvantages of direct costing.
[Ans: ব্যবস্থাপনা হিসাববিজ্ঞান (৪র্থ খণ্ড) বইয়ের 217 Page 3.03 No.]

ooo 02. **Discuss the feature/ Characteristics of variable costing.** 99% **[Ans: 217 Page 3.02 No.]**
[Test Exam : Dhaka, Eden, Lalmatia, Mohilla, Monsar, Mohamad mohsin & Suhrawardy College]

ooo 03. Difference between variable costing and marginal costing? **[Ans: 220 Page 3:12 No.]**

ooo 04. How can profit be increased without increasing sales in absorption costing? **[Ans: 219 Page 3.08 No.]**
[N.U. (Finance)-2017]

ooo 05. **What is absorption costing?** 99% **[Ans: 218 Page 3.06 No.]** *[N.U. (Mgt.) -2017]*
Or, Define absorption costing/total costing.

oo 06. "Only variable cost can be differential cost."—Do you agree? Explain. **[Ans: 218 Page 3.05 No.]**
[N.U.(Acc.) -2016, (Mgt.) 2019]

ooo 07 **Describe in brief the difference between variable costing and absorption costing.** 99%
[Ans: 221 Page 3.14 No.] *[Test Exam- Rangpur, bola, satkirecity, M.M College;N.U. BBA (Old) -2009, 2013, 2015; (Mgt.) -2016, 2019, 2021;(Acc.) -2017; 2018;D.U. (Acc.& (Mgt.) 2016]*
Or, Show the difference between variable costing and absorption costing.
Or, Describe the reasons for difference in net income between variable costing and absorption costing.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 05 & 07 No. Questions in are most important for the Examinee of 2025. ..... Editor***

Easy Math Basic Problem : Category-B & C

oo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–05**

Meghna Ltd. produced 25,000 units of product during the year 2021, 20,000 units were sold @ Tk. 250 per unit. Cost of this product was :

Materials	Tk. 7,00,000
Direct labor	Tk. 5,00,000
Factory overheads :	
Fixed –	Tk. 1,50,000
Variable –	Tk. 1,25,000

Marketing and administrative expenses for the year total 1,00,000, all are fixed. You are required productio cost per unit using variable costing method.

Solution : ব্যবস্থাপনা হিসাববিজ্ঞান (৪র্থ খণ্ড) বইয়ের ২২৪ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2018 No–09; 2022 No–9**

CDC Ltd./Jayan Ltd. produces a single product data for last year operations are as folows :

Units produced	21,500
Variable cost per unit :	
Direct materials	Tk. 5.00
Direct labour	Tk. 8.00

Variable manufacturing overhead	Tk. 2.00
Variable selling and administrative expense	Tk. 1.00
Fixed cost :	
Fixed manufacturing overhead	Tk. 86,000
Fixed selling and administrative expense	Tk. 40,000

Required :

(i) Calculate unit product cost under variable costing

(ii) Calculate unit product cost under absorption costing.

Solution : ২২৬ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 08**

MM Company produce a product and following data is available for the month of June-2021.

Produce units	25,000
Variable cost per unit :	
Direct materials	10.00
Direct labour	8.00
Variable factory overhead	5.00
Variable selling and distribution expense	2.00
Variable office and administrative expense	2.00

Fixed cost:

Factory overhead Tk. 50,000

Fixed selling and distribution expense 20,000

Fixed office and administrative expense 30,000.

Required :

(a) Compute the unit product cost under variable costing.

(b) Compute the unit product cost under absorption costing.

Solution : ২২৬ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2023 No–6**

Maniha Company produces a single product and supplies the following cost data.:

Production during the year 2,00,000 units, sales during the year 1,50,000 units, production cost consisted of direct materials Tk. 15,00,000, direct labour Tk. 10,00,000, variable factory overhead Tk. 4,00,000 and fixed factory overhead Tk. 2,00,000.

Required : Compute the unit product cost and ending inventory value under direct costing and absorption costing.

Solution : ২২৭ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2016 No–06**

NUHA Ltd. has the following data :

Account Titles	Year 1 Tk.	Year 2 Tk.
Beginning inventory as per variable costing	Nill	40,000
Beginning inventory as per absorption costing	Nill	58,000
Ending inventory as per variable costing	40,000	Nill
Ending inventory as per absorption costing	58,000	Nill
Profit as per variable costing	50,000	50,000
Profit as per absorption costing	68,000	32,000

Prepare a reconciliation statement.

Solution : ২২৮ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

✪✪ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–04**

Dhaka Manufacturing Company produces one product. Its cost includes direect materials Tk. 10 per unit, direct labour Tk. 8 per unit, variable manufacturing overhead Tk. 6 per unit, fixed manufacturing overhead Tk. 2,50,000 and selling and administrative overhead Tk. 30,000. In October 2012, Dhaka Manufacturing Co. Produced 25,000 units and sold 20,000 units at Tk. 50 each.

Required :

(i) Calculate product cost per unit under variable costing.

(ii) Prepare a variable costing income statement.

Solution : ২৩০ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

✪✪✪ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management- 2018 No–12**

BSRM Company is comparing its present's absorption costing practice with variable costing methods. An examination of its produced the following information :

Budgeted producting	45,000 units
Budgeted fixed factory overhead	Tk. 85,000
Fixed marketing and administrative expense	Tk. 25,000
Sales price per unit	Tk. 15
Standard variable manufacturing cost per unit	Tk. 7
Variable marketing expense per unit	Tk. 2
For the year the following data are available :	
Actual production	35,000 units
Actual sales units	34,000 units
Finished goods inventory January 1	1,200 units
Unfavorable variance from standard cost	Tk. 7,000

Required :

(a) Prepare variable costing income statement.

(b) Prepare absorption costing income statement.

Solution : ২৩৫ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

✪✪✪ **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2012 No-11; 2014 No-11; (Finance) 2018 No-12**

Ahmed Ltd/Sobuj Ltd. uses absorption costing system. The president has recently heard about variable costing. However, he supplies you the following data :

Normal capacity	1,000 units
Beginning inventory	200 units
Production	900 units

Sales 1,000 units @ Tk. 10.00 per unit

Materials costs Tk 2.00 per unit

Labour Tk 2.00 per unit

Variable overhead Tk 1.00 per unit

Fixed manufacturing expenses Tk 2,700

Fixed selling expense Tk 1,300

Unfavourable variable cost variance from standard Tk. 200

Required : Income statement under :

(a) Absorption costing method;

(b) Variable costing method.

Solution : ২৩৬ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2019 No–12(b); 2022 No–16**

Chowdhury Ltd. produced 24,000 Units of products during first quarter of 2020. Units sold 20,000 @ Tk. 200 per unit. Cost of the product was :

Materials	Tk. 6,00,000
Direct labour	Tk. 5,00,000
Factory overhead :	
Fixed cost	Tk. 1,20,000
Variable cost	Tk. 1,44,000
Marketing and administrative expense	Tk. 60,000

Required :

(i) An income statement using full costing.

(ii) An income statement using direct costing.

Solution : ২৪৩ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল]

✗✗ **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–9**

Lily Corporation produced 25,000 units (normal capacity) of product during the year. 20,000 units were sold @ Tk. 25 per unit.

Cost of this production was :

Accounts titles	Taka
Direct material	62,500
Direct labour	62,500
Factory overhead :	
Variable cost	1,25,000
Fixed cost	96,000

Marketing and administrative expenses for the year total Tk. 70,000; all are fixed expenses. Prepare an income statement under variable costing.

Solution : ৫৪২ পৃষ্ঠার **Question No-9** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2016 No–12; 2021 No–11**

Sky Company/Nahid company is comparing its present absorption costing practice with direct costing method. As examination of its record produced the following informations :

Budgeted production	40,000 units
Budgeted fixed factory overhead	Tk. 80,000
Fixed marketing and administrative expense	Tk. 20,000
Sales price per unit	Tk. 12.00
Standard variable manufacturing cost per unit	Tk. 5.00
Variable marketing expense per unit	Tk. 1.00
For the year following data are available :	
Actual production	32,000 units
Actual sales	29,000 units
Finished goods inventory January-1	1,000 units
Unfavourable variance from standard variable cost	Tk. 5,000

Required :

(a) Prepare an income statement using direct costing.

(b) Prepare an income statement using absorption costing.

Solution : ২৪৪ পৃষ্ঠার **Problem-25** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2023 No–13**

Padma Ltd. is comparing its present absorption costing practice with variable costing methods.
An examination of its records reveals the following information :

Budgeted production	50,000 units
Sales price per unit	Tk. 30
Standard variable manufacturing cost per unit	Tk. 12
Variable marketing expense per unit	Tk. 3
Fixed factory overhead	Tk. 1,50,000
Fixed marketing and administrative expense	Tk. 25,000

For the year of 2022 the following data are available :

Actual production	45,000 units
Actual sales	40,000 units
Opening inventory	3,000 units
Unfavorable variance from standard cost	Tk. 10,000

Required :
(i) Prepare income statements under variable costing and absorption costing.
(ii) Prepare reconciliation statements.

Solution : ২৪৬ পৃষ্ঠার **Problem-26** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊠⊠ **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–15**

River Corporation uses a standard cost system in accounting for one of its product. The standard cost per unit is :

Accounts titles	Taka
Direct materials	8.00
Direct labour	7.00
Variable factory overhead	2.00
Fixed factory overhead (Normal capacity : 60,000 units)	3.00
Total	20.00

All variance are closed to cost of goods sold. On June 1, there were 10,000 units of product on hand. During June 50,000 units were produced and 45,000 units were sold. Cost incurred during June were :

Accounts titles	Taka
Direct materials	3,96,000
Direct labour	3,61,000
Variable factory overhead	1,06,000
Fixed factory overhead	1,80,000
Variable marketing and administrative expense	55,000
Fixed marketing and administrative expense	70,000

Required : Prepare income statement under variable costing and absorption costing.

Solution : ৫৪৬ পৃষ্ঠার **Question No-15** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2018 No–12**

Sky Corporation uses a standard cost system in accounting for one of its products, which its sells for Tk. 30 per unit. The standard cost per unit is :

Account Titles	Taka
Direct materials	8
Direct labour	7
Variable factory overhead	2
Fixed factory overhead (Normal capacity of 60,000 units)	3
Total	20

All variances are closed to cost of goods sold. On May 1, there were 10,000 units of product on hand. During May 50,000 units were produced and 45,000 units were sold. Cost incurred during May were :

Account Titles	Taka
Direct materials	3,95,000
Direct labor	3,60,000
Variable factory overhead	1,05,000
Fixed factory overhead	1,85,000
Variable marketing and administrative expense	60,000
Fixed marketing and administrative expense	75,000

Required :

(i) Prepare an income statement under variable costing;

(ii) Prepare an income statement under absorption costing.

Solution : ২৪৭ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2017 No–14(b); 2021 No–5; D.U. BBA (Hon's) 3rd (Mgt.) 2017 No–11; MBA Preli (Acc.) 2014 No–2(b)**

Jamuna Corporation produced 24,000 units (normal capacity) of product during the year. 20,000 units were sold @ Tk. 22 per unit. Cost of production was as follows :

Direct materials	Tk. 60,000
Direct labour	60,000
Factory overhead :	
Variable cost	1,20,000
Fixed cost	96,000

Marketing and administrative expenses for the year Tk. 70,000, all are fixed.

(i) Income statement under absorption costing and variable costing.

(ii) Reconciliation statement.

Solution : ২৫৩ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc., 2017 No–13; MBA Preli (Acc.) 2019 No–13**

Sabuj Limited is comparing its present absorption costing practice with variable costing methods.

An examination of its records revealed the following information :

Budgeted production 45,000 units

Budgeted fixed factory overhead Tk. 1,35,000

Fixed marketing and admin expense Tk. 15,000

Sales price per unit Tk. 20

Standard variable manufacturing cost per unit Tk. 8

Variable marketing expense per unit Tk. 2

For the year the following data are available :

Actual production 40,000 units

Actual sales 35,000 units

Finished stock inventory (opening) 2,000 units

Unfavorable variance from standard cost Tk. 8,000.

Required :

(1) Income statements

(2) Reconciliation statements.

Solution : ২৫৭ পৃষ্ঠার **Problem-33** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No– 15**

The following particulars are available from the books of a company for the year ended December 2019 :
Sales: 1,50,000 kilograms
Finished goods inventory (1-1-2019): 24,000 kg
Finished goods inventory (31-12-2019): 34,000 kg
Sales price Tk. 20 per unit.
Manufacturing cost:
Variable cost per kg of production : Tk. 8
Fixed factory overhead : Tk. 1,60,000 (Normal capacity 1,60,000 kg)
Marketing and administrative expenses :
Variable cost per kg of sales @ Tk. 1
Fixed marketing and administrative expenses Tk. 3,00,000
Standard costing system is used.
Required :
(i) Income statement for the year 2019 under the absorption costing method and variable costing method.
(ii) A statement showing the difference in net operating income under the two methods.

Solution : ২৫৮ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2019 No– 11**

The following data is available for the month of July, 2018 of Sakib Ltd. :

Beginning inventory	Nil
Sales units	8,000
Production units	10,000
Selling price (per unit)	Tk. 40
Variable manufacturing cost (per unit)	Tk. 12
Fixed factory overhead (per unit)	Tk. 5
Fixed factory overhead (total)	Tk. 35,000
Fixed commercial expense	Tk. 18,000

(i) Prepare income statement under variable costing and absorption costing.
(ii) Prepare a reconciliation statement.

Solution : ২৬১ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-19** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No–03: (Management) 2017 No–07**

The following data are for the East-West Ltd.

Account Titiles	January	February
Sales (in units)	4,000	6,000
Production (in units)	8,000	2,000
Sales price per units	Tk. 20	Tk. 2
Fixed factory over head (Total)	Tk. 24,000	Tk. 24,000
Direct manufacturing cost per unit	Tk. 10	Tk. 10
Fixed factory overhead per unit	Tk. 3	Tk. 3
Selling and administrative expense	Tk. 8,000	Tk. 8,000

You are required to prepare comparative income statement based on absorption costing method.

Solution : ২৬৩ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-20** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 12**

The Martin Company sells its razors at Tk. 3 per unit. The company uses FIFO actual costing system. A new fixed manufacturing overhead allocation rate is computed each year by dividing the actual fixed manufacturing overhead cost by the actual production units. The following data are related to it's first two years operation :

	Year-1	Year-2
	Units	Units
Sales	1,000	1,200
Production	1,400	1,000
Cost :	Taka	Taka
Variable manufacturing cost	700	500
Fixed manufacturing cost	700	700
Variable marketing and administrative	1,000	1,200
Fixed marketing and administrative	400	400

Required :

1. Prepare income statements for each of the years under variable costing and under absorption costing.
2. Prepare a reconciliation and explanation of the difference in the operating incomes for each year resulting from the use of absorption costing and variable costing.

Solution : ২৬৪ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

Chapter 04 Cost Volume Profit Relationships

(ব্যয় পরিমাণ মুনাফার সম্পর্ক)

Part-A : Brief Questions & Solutions :

ooo 01. **What is cost?** 99% *[N.U. 2016 (Finance)*

Or, What do you mean by cost?

Ans : Cost is a measurement in monetary terms of the amount of resources used for a specific purpose such as production of goods and services.

oo 02. **What is cost driver?**

Ans : Any output measure of resource and activities is called cost driver.

ooo 03. **What is production cost?**

Ans : Production costs identified with goods produced or purchase for resale.

ooo 04. **What is margin of safety?** 99%

Or, What do you mean by margin of safety?

Or, Define margin of safety? *[Test Exam : Kabi Nazrull, Tuumir & Dendra College; N.U. 2012, 2014(Old); 2016, 2019 (Acc.); 2016, 2018, 2022, 2023 (Mgt.); 2019, 2021 (Finance)]*

Ans : The excess of budgeted (or actual) sales over the break-even volume is margin of safety.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 05. **Define marginal cost?**

[N.U. 2015 (Old); 2018 (Finance)]

Ans : The additional cost resulting from producing and selling one additional unit is called marginal cost.

06. What is markup? [২০২৪ সালে যা এসেছিল] [N.U. 2017 (Acc.); 2019, 2024 (Mgt.)]

Ans : It is an amount by which price exceeds cost.

ooo 07. **What is break even point?** 99%

[Test Exam : Titumir & Suhrawardy College; N.U. 2015 (Old); 2020 (Mgt.)]

Ans : The break even point can be defined as the point where total revenue equals total cost and as the point where total contribution margin total equals fixed costs.

ooo 08. **Write down the formula of BEP.**

Or. Write down the formula of break-even point. *[N.U. 2021 (Acc.)]*

Ans : $\text{BEP} = \frac{\text{Fixed cost}}{\text{Contribution per unit}}$

ooo 09. **Write a formula of BEP in taka.** 99%

[N.U. 2021 (Mgt.)]

Ans. $\text{BEP (Tk.)} = \frac{\text{Total fixed cost}}{\text{P/V Ratio}}$

০০০ 10. What do you mean by break-even chart?
Or, What is break-even chart?
[N.U. 2018 (Acc.); 2020 (Finance)]
Ans : The relationship between revenue, cost and level of activity in an organization presented in graphic form and determine BEP form it, is called break-even chart.

০০০ 11. Write down the formula of BEP ratio.
[N.U. 2013 (Old)]
Ans : (i) BEP Ratio = 100% – M/S Ratio,
(ii) BEP Ratio $= \frac{\text{BEP}}{\text{Sales}} \times 100$

০০০ 12. What is C/M ratio?
[N.U. 2012 (Old); 2016, 2021 (Finance)]
Or, What is the contribution margin ratio?
Ans : The contribution margin per unit expressed as a percentage of selling price per unit. This term is synonymous with profit-volume ratio.

০০ 13. Write down the formula of contribution.
Ans : Contribution = Sales – Variable Cost.

০০০ 14. Write down any one application of C/M ratio. 99%
[N.U. 2014 (Old); 2019 (Mgt.); 2021 (Acc.)]
Or, Write the formula of CM ratio.
Or, Write down the formula of contribution margin ratio.
Ans : Contribution margin ratio
$= \frac{\text{Contribution}}{\text{Sales}} \times 100$

০০ 15. What is the equation method?
Ans : A method of computing the break-even point that relies on the equation.

০০ 16. Write down the formula of margin of safety?
Ans : (i) Margin of safety = Sales – BEP Sales;
(ii) Margin of Safety $= \frac{\text{Profit}}{\text{P/V Ratio}}$

০০০ 17. What is profit volume ratio?
Ans : The ratio that is used to analysis the relation between contribution and sales is known as profit volume ratio.

০০০ (18) What is sales mix? 99%
[N.U. 2016, 2018, 2020 (Mgt.)]
Ans : The relative combination in which a company's product are sold. Sales mix is computed by expressing the sales of each product as a percentage of total sales.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 19. What is operating leverage?
Ans : A measure of the extant to which fixed costs are being used in an organization. The greater the fixed cost, the greater the operating leverage available and the more sensitive of net income is to change in sales.

০০০ 20. What is the elaboration of CVP?
[N.U. 2017 (Acc.)]
Ans. CVP = Cost Volume Profit.

০০০ 21. How contribution margin is derived? 99%
[N.U. 2017 (Acc.)]
Ans. Contribution margin = Total actual or expected sales - Total variable cost.

০০০ (22) What is contribution margin (CM)? 99%
[N.U. 2019 (Acc); 2021, 2023 (Mgt.)]
Ans. The amount remaining from sales revenues after all variable costs have been deducted is called contribution margin.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 23. Write down the formula of profit volume ratio. *[N.U. 2020 (Acc.)]*
Ans. P/V ratio $= \frac{\text{Contribution per unit}}{\text{Selling per unit}} \times 100$

০০০ 24. What is marginal revenue? *[N.U. 2016 (Finance)]*
Ans. The additional revenue resulting from the sale of an additional unit is called marginal revenue.

০০০ 25. What is CVP analysis? 99% *[N.U. 2021 (Finance)]*
Ans. CVP analysis defined as an analysis of the effect of value changes upon costs and upon profits.

Part- B & C (Short & Broad Questions) :

০০০ 01. What is CVP analysis? [Ans: ব্যবস্থাপনা হিসাববিজ্ঞান (৪র্থ খণ্ড) বইয়ের 270 Page 4.01 No.] *[N.U. 2005]*
Or, Definition of cost volume profit analysis.

০০ 02. State the underlying assumptions of CPV analysis. [Ans: 275 Page 4.22 No.] *[N.U. (Old) -2015]*

০০০ 03. Distinguish between differential cost and marginal cost. 99% [Ans: 271 Page 4.04 No.] *[N.U.BBA (Old) -2014; (Mgt.) -2016]*

০০০ 04. What are the limitations of cost-volume- profit analysis? [Ans: 271 Page 4.05 No.] *[N.U. (Mgt.) 2021]*

০০০ (05) How does cost volume profit analysis help management decision making? 99% [Ans: 274 Page 4.17 No.] *[N.U. (Old) -2015;(Finance)-2018; (Mgt.) 2020, 2022]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল–

4. *Write down the assumptions of cost volume profit analysis.* **[Ans : Page No. 274; Ques. No. 4.18]**

[N.U. (Old) -2012, 2014; (Acc. 2018); (Finance)-2017; (Mgt.) 2024]

Or, What are the assumptions of cost volume profit analysis?

Or, State the assumptions of CVP analysis.

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 03 & 05 No. Questions in are most important for the Examinee of 2025.*** ***.....Editor***

Easy Math Basic Problem : Category-B & C

○○ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management- 2016 No–09**

A company has a profit of Tk. 5,000, fixed cost Tk, 10,000 and break even point of Tk. 15,000. Find out the amount of sales.

Solution : ব্যবস্থাপনা ইন্টারপ্রেস (৪র্থ খণ্ড) বইয়ের ১৭৯ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

○○○ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 07**

A company has sales of Tk. 60,000, marginal cost of sales Tk. 48,000 and break-even point Tk. 40,000. Find out the amount of profit earned of the company.

Solution : ২৭৯ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

○○○ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

○○ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2016 No–7**

Mumu Company has fixed expenses of Tk: 90,000 with sales at Tk. 3,00,000 and a profit of Tk. 60,000. If in the next period, the company suffered a loss of Tk. 30,000, calculate the sales volume.

Solution : ২৮০ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

○○○ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–05; (Finance) 2018 No–08; 2021 No–06**

Total sales of a production Co. is Tk. 2,00,000, margin of safety is Tk. 80,000, C/M ratio 40%.

Determine :

(i) Profit of the Co;

(ii) Total variable cost.

Solution : ২৮২ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

○○○ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management- 2018 No–08**

The margin of safety and profit margin of AAK Ltd. are respectively 50% and 15% of the total sales and fixed cost Tk. 1,50,000.

You are required to calculate :

(a) P/V ratio,

(b) Break-even sales

Solution : ২৮২ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

○○ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2018 No–09**

In Beta Ltd, cost of producing 34,000 units in January and 25,000 units in February were Tk. 2,49,800 and Tk. 2,18,300 respectively. The company plans to produce 18,000 units in March. How much would be the cost of production in March?

Solution : ২৮৩ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

২০২৪ সালের পরীক্ষায় যা এসেছিল

Problem-07 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–6**

ABC Co. furnishes the following data :

Sales	11,000 unit @ Tk. 15
VC	Tk. 10 per unit
FC	Tk. 22,500

Calculate :

(i) BEP

(ii) Required sales to earn a profit of Tk. 40,000

Solution : ৫৪১ পৃষ্ঠার **Question No-6** নং প্রশ্নের উত্তর দেখুন।

Problem-08 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No–04; (Mgt) 2016 No–08**

Sales Tk. 10,00,000

P/V ratio 40%

M/S ratio 25%

Find out :

(i) BEP in taka,

(ii) Variable cost,

(iii) Profit,

(iv) Margin of safety.

Solution : ২৮৫ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

Problem-09 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No–11; (Acc.) 2016 No–13; (Mgt) 2021 No–12; MBA Preli (Acc.) 2019 No–14**

The following data is extracted from the books of a company/XYZ Company:

Annual sales	Tk. 2,20,000
M/S ratio	35%
P/V ratio	45%

You are to ascertain :-

(a) Break-even sales in Tk.;

(b) M/S inTk.;

(c) Annual profit;

(d) Sales required to earn profit as Tk. 40,000;

(e) Profit on sale of Tk. 1,20,000.

Solution : ২৮৬ পৃষ্ঠার **Problem-20** নং প্রশ্নের উত্তর দেখুন।

২০২৪ সালের পরীক্ষায় যা এসেছিল

Problem-10 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–13**

Rasel Company manufactures and sells a single product. The following data is extracted from the books of Rasel Company :

Accounts titles	Taka
Annual sales	6,00,000
Profit volume ratio	30%
Margin of safety ratio	40%

You are asked to calculate :

(i) Break even sales
(ii) Margin in safety
(iii) Annual profit
(iv) Target sales to earn a profit of Tk. 40,000
(v) Profit on sales of Tk. 3,00,000.

Solution : ৫৪৩ পৃষ্ঠার **Question No-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No–5; (Management) 2021 No–9**

The following figures for profit and sales are obtained from the account of 'X' Co. Ltd./ XYZ Co :

Year	Sales	Profit
	Tk.	Tk.
2013	20,000	1,000
2014	30,000	3,000

Calculate :

(i) Profit volume ratio;
(ii) BEP;
(iii) Profit when sales Tk. 40,000;
(iv) Sales to earn a profit of Tk. 5,000.

Solution : ২৯৩ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No–05; D.U. BBA (Hon's) 3rd (Accounting) 2017 No–07**

The profit and sales of R & R Ltd./Rased Ltd. for the year 2020 and 2021 are given below :

Year	Sales (Tk.)	Profit (Tk.)
2020	2,00,000	16,000
2021	2,20,000	20,000

Calculate :

(i) Profit volume ratio
(ii) Break-even point (in Taka)
(iii) Profit when sales Taka 2,50,000
(vi) Margin of safety for the year 2021.

Solution : ২৯৩ পৃষ্ঠার **Problem-29** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old)-2014 No–15; Finance 2021 No–13**

XYZ Company Ltd. /A company collected the following data for the second quarter of the year :-

Months	Sales (Tk.)	Costs (Tk.)
April	70,000	56,000
May	77,000	59,990
June	85,000	64,550

Required :

(i) Variable costs per unit in Taka;
(ii) The fixed costs;
(iii) The break-even point in Tk.;
(iv) July profit if sales Tk. 80,000.

Solution : ২৯৫ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management- 2017 No–08**

Swift Corporation has a single product whose selling price is Tk. 120 and whose variable cost is Tk. 80 per unit. The company's monthly fixed expense is Tk. 50,000.

Required :

(i) Using the equation method, solve for the unit sales that are required to earn a target profit of Tk. 10,000.

(ii) Using the contribution margin approach, solve for the taka sales that are required to earn a target profit of Tk. 15,000.

Solution : ২৯৬ পৃষ্ঠার **Problem-32** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2016 No–09; 2018 No–09**

Scientific Ltd. produces and sales calculator. Variable cost and selling price per calculator are Tk. 600 and Tk. 800 respectively. The fixed cost per year is Tk. 36,000. You are required to calculate :

(i) Break even sales in unit and taka.

(ii) Sales to earn a profit of Tk. 60,000 (before tax).

(iii) Sales to earn a profit of Tk. 45,000 after tax (the tax rate is 40%).

Solution : ২৯৬ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2016 No–13(b)**

The Kohinoor Chemical Company has sales of Tk. 1,20,000 and margin of safety 40% and P/V ratio 30% during the current year. The company expects that next year the fixed cost and the sales price will increase. As a result the margin of safety and the P/V ratio will change to 35% and 40% respectively.

Required :

(i) The present break even sales;

(ii) The amount of current profit;

(iii) The break even sales next year;

(iv) The amount of profit next year.

Solution : ৩০১ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management- 2017 No–12; (MBA Preli.) (Accounting) 2018 No–13**

A company plans to produce 5,00,000 units at a variable cost of Tk. 20 each. The fixed costs are expected to be Tk. 20,00,000. The selling price is fixed to give 25% profit on cost.

Required :

(i) P/V ratio;

(ii) Break-even point;

(iii) P/V ratio and break-even point if the selling price is increased by 20%.

(iv) The number of units required to be sold at the reduced selling price to obtain an increase of 20% over the budgeted profit.

Solution : ৩০২ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management- 2018 No–17**

Nazrul Company manufactures and sells a single product. The company's sales and expenses for a recent month follow :

Account Titles	Total Taka	Unit Taka
Sales	6,00,000	40
Less : Variable expense	4,20,000	28
Contribution margin	1,80,000	12
Less : Fixed cost	1,50,000	
Net income	30,000	

Required :

(i) What is the BEP in units sold and sales Taka?
(ii) What is the CM (Total) in BEP?
(iii) How many units would have to be sold each month to earn a minimum target net income of Tk. 18,000?
(iv) Refer to the original data. Compute company's margin of safety in both Taka and percentage terms.
(v) What is the company's cm?

Solution : ৩০৪ পৃষ্ঠার **Problem-42** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-19** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 13**

An analysis past and future costs of a manufacturing concern is given below :

Cost elements	Variable cost as percentage of sales (Tk.)	Fixed cost (Tk.)
Direct materials	31.50	-
Direct labour	28.50	-
Factory overhead	12.50	12,50,000
Marketing expenses	4.00	1,00,000
General & administrative expenses	3.50	3,50,000

Budgeted sales revenue for the year 2021 is Tk. 2,00,00,000.

Required :

(i) The break even sales at taka
(ii) The P/V ratio
(iii) The profit at the budgeted sales volume
(iv) The profit if the sales dropped by 3.75%.

Solution : ৩০৫ পৃষ্ঠার **Problem-43** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-20** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2019 No–14(b); 3rd (Accounting) 2020 No– 13; (MBA Preli.) (Management) 2015 No–5(b)**

Sakil Co. Ltd./Otobi Ltd./Glorious Ltd. manufactures and sells a single product. The company's sales and expenses for last quarter is as follows :

	Total Taka	Per unit Taka
Sales	9,00,000	60
Less : Variable cost	3,60,000	24
Contribution margin	5,40,000	36
Less : Fixed cost	4,32,000	
Net operating income	1,08,000	

Required :

(i) What is company's CM ratio?
(ii) What is quarterly break-even-point in units sold and in sales taka?
(iii) Company's margin of safety in taka and in percentage term.
(iv) How many units would be sold each quarter to earn a pre-tax profit of Tk. 1,80,000?
(v) If company can sell only 15,000 units but wanted to earn a pre-tax profit of Tk. 1,80,000, then what would be the selling price per unit?
(vi) If sales increase by Tk. 1,00,000 per quarter and there is no change in fixed expense, by how much would you expect net operating income to increase?

Solution : ৩০৯ পৃষ্ঠার **Problem-46** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-21** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–13**

Consider two businesses with the following unit price and fixed and variable cost:

	Business-A	Business-B
	Taka	Taka
Selling price per unit	10.00	10.00
Variable cost per unit	2.00	6.00
Fixed cost per year	50,000	25,000

Required :

(a) Calculate the profits of each business if sales in units are 20% above the break-even point.

(b) Which business would fare better if sales dropped to 5,000 units? Why?

(c) Which business would fare better if the market collapsed and the price per unit fell to Tk. 5? Why?

Solution : ৩১০ পৃষ্ঠার **Problem-47** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-22** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2019 No–12**

Tania Ltd. using 50% of capacity produces 30,000 units last year for market. Of the total cost Tk. 90,000 was variable cost and Tk. 70,000 was fixed cost. Due to trade depression, the company has to reduce the price from Tk. 8 to 6 per unit during the current year. The company has also decide to increase production to 50,000 units and to sell the excess production to foreign market at Tk. 5.00 per unit. Selling expenses for the foreign sales will be Tk. 0.50 per unit. Fixed cost will increase by Tk. 5,000.

Required :

(i) Profit or loss at home and foreign market during the current year.

(ii) Break-even sales during the current year.

Solution : ৩১১ পৃষ্ঠার **Problem-48** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-23** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2015 No–13(b)**

Cost details of a company are given below :

Account Titles	Taka
Sales	12,00,000
Direct mateirals	2,50,000
Direct labour	2,00,000
Fixed factory overhead	2,50,000
Variable factory overhead	1,50,000
Fixed selling expense	70,000
Variable selling expense	80,000
Administrative expense	40,000

Required : Compute the BEP sales and show it graphically.

Solution : ৩১৫ পৃষ্ঠার **Problem-51** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-24** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance- 2017 No–12**

A company has supplied the following data relating to its operation :

Account Titles	Period-I	Period-II
Cost of materials in Tk.	3,00,000	3,60,000
Cost of labour in Tk.	2,12,000	2,47,000
Overheads in Tk.	4,18,000	4,53,000
Production units	10,000	12,000

Sales through out the year were made at Tk. 100 each.

(i) Use a break-even chart to find fixed cost and current break-even point.

(ii) A plan is proposed where variable cost will be reduced by Tk. 10 p.u. and fixed cost will rise by Tk. 1,16,000. Find the new break-even point.

Solution : ৩১৬ পৃষ্ঠার **Problem-52** নং প্রশ্নের উত্তর দেখুন।

Chapter 05 Relevant Costs for Decision Making

(সিদ্ধান্ত গ্রহণে প্রাসঙ্গিক ব্যয় প্রক্রিয়া)

Part-A : Brief Questions & Solutions :

01. What is relevant cost? 99%

[N.U. 2012, 2014(Old); 2016, 2019 (Acc.); 2016, 2020 (Mgt.); 2016, 2021 (Finance)]

Ans : Relevant cost are those expected future cost that differ among alternative course of action.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 02. What is imputed cost?

Ans : A cost that is incurred by virtue of using an asset instead of investing it or undertaking an alternative.

ooo 03. What is avoidable cost?

Ans : The cost that can be escaped by changing the process of production or organization is called avoidable or escapable cost.

ooo 04. What is unavoidable cost? 99%

[N.U. 2015 (Old); 2017 (Mgt.)]

Ans : A cost that cannot be influenced at the business unit level but it is controllable at the corporate level is called unavoidable cost.

ooo 05. What is irrelevant cost?

Ans : An irrelevant cost is a cost that will not changed as the result of a management decision.

oo 06. What is historical cost?

Ans : Historical cost is the value of a resource given up or a liability incurred to acquire an asset/service at the time when the resource was given up or the liability incurred.

ooo 07. What do you mean by decision making? 99% *[N.U. 2021 (Mgt.)]*

Or, What is decision making?

Ans : Decision making is choosing the best among the alternatives.

ooo 08. Define quantitative factors decision making.

Ans : Quantitative factors are those that can be expressed in numerical terms. All kinds of relevant cost are quantitative factors.

ooo 09. What are qualitative factor?

Ans : Qualitative factors are those that cannot be expressed in numerical terms but are considered for decision making.

ooo 10. What is shut down cost? 99%

[N.U. 2018 (Acc.); 2019 (Mgt.); 2019 (Finance)]

Ans : The shut-down price is the price at which the company will begin to lose money for making the product.

ooo 11. What is abandoning cost?

Ans : Abandoning costs are the costs of retiring altogether a fixed asset from use.

ooo 12. What is fixed cost?

Ans : Fixed costs as any costs that do not fluctuate during the fiscal year. Fixed costs are not affected in any way by changes in production, revenue or expenses.

ooo 13. What is step fixed cost? 99% *[N.U. 2023 (Mgt.)]*

Ans : A type of expenses that is more or less constant over a low level shift in activity, but which changes incrementally when activity shifts substantially.

ooo 14. Define relevant range. 99% *[N.U. 2017 (Mgt.)]*

Ans. The relevant is the range of activity within which the assumption about variable and fixed cost behavior are effective valid.

ooo 15. Elaborate : ACCA. *[N.U. 2018 (Finance)]*

Ans : Association of Chartered Certified Accountants.

ooo 16. What is relevant cash flow? 99%

[N.U. 2020 (Finance)]

Ans. The relevant cash flows is future incremental cash flow arising from the decision being made. This means that the cash flows are only relevant if they are future, incremental costs.

ooo 17. What is special order? *[N. U. 2021 (Acc.)]*

Ans. A one time order that is not considered part of the company's normal ongoing business.

18. What is strategy? 99% *[N.U. 2023 (Mgt.)]*

Ans : Strategy refers to the plan a company uses to compete effectively in the market, increase profitability and achieve growth.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 19. What is relevant range? 99%

Ans. The range of activity within which assumption relative to variable and fixed cost behaviour are valid. *[N.U. 2019 (Finance)]*

Part- B & C (Short & Broad Questions) :

ooo 01. What is sunk cost? [Ans: ব্যবস্থাপনা ইন্ডিপেন্ডেন্স (৪র্থ খণ্ড) বইয়ের 321 Page 5.03 No.]
Or, Definition of sunk cost?

oo 02. What is opportunity cost? [Ans: 321 Page 5.02 No.]
Or, What do you mean by opportunity cost?

ooo 03. **What do mean by relevant and irrelevant cost?** 99% [Ans: 324 Page 5.15 No.] *[N.U. (Finance)-2018]*

ooo 04. **"All future costs are relevant in decision making."— Do you agree? Why?** 99%
[Ans: 325 Page 5.16 No.] *[N.U. (Old) -2015; (Mgt.) -2017, 2019]*
Or, "All future costs are relevant in decision making"-Do you agree? Explain.
Or, "All relevant costs are future costs but all future costs are not relevant cost" –Do you agree and why?
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo 05. **How an investment proposal is evaluated according to different discounted cash flow techniques?** 99% [Ans: 324 Page 5.14 No.] *[N.U. (Old) 2015; (Finance) 2019; (Mgt.)-2019]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 04 & 05 No. Questions in are most important for the Examinee of 2025.*** ***..... Editor***

Easy Math Basic Problem : Category-B & C

oo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–06**
Three Star Company manufactures there products. Out of the three, product Z has a net loss of Tk. 20,000 from sales of Tk. 2,00,000, variable expense Tk. 1,80,000 and fixed expense Tk. 40,000. If product Z is eliminated Tk. 30,000 of fixed cost will remian.
Prepare an analysis showing whether product Z should be eliminated.

Solution : ব্যবস্থাপনা ইন্ডিপেন্ডেন্স (৪র্থ খণ্ড) বইয়ের ৩২৭ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2020 No– 08**
Delta Company is considering expansion of its plant capacity. Fixed costs amount to Tk. 4,20,000 and are expected to increase by Tk. 1,25,000 when plant expansion is completed. The present plant capacity is 80,000 units per year. Capacity will increase by 50% with the expansion. Variable costs are currently Tk. 6 per unit and are expected to go down by Tk. 1 per unit with the expansion. The current selling price is Tk. 20 per unit and expected to remain same under either alternative. Which alternative is better expand or not to expand? Why?

Solution : ৩২৭ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2019 No– 06**
Beach View Ltd. is a manufacturing concern which requires 3,000 units of part-A to complete its finished products. Beach View Ltd. produces part-A in its own factory. Relevant cost data are as follows :

Details	Per unit Taka	3,000 units Taka
Raw materials	30	90,000
Direct labour	70	2,10,000
Variable overhead	50	1,50,000
Fixed overhead	50	1,50,000
Total cost	200	6,00,000

A supplier offers to sell part-A to Beach View Ltd. at a cost of Tk. 180 per unit. If the offer is accepted, fixed overhead @ Tk. 30 per unit can be saved.
Required : Should the offer be accepted?

Solution : ৩৩০ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No– 16**

Sovon Ltd. manufactures 40,000 parts of specialized products. At this level of activity the cost per parts is as follows :

	Taka
Direct materials	5
Direct labour	10
Variable overhead	2
Fixed overhead	8
Total cost per parts	25

An outside supplier has offered to sell 40,000 parts each year to Sovon Ltd. for Tk. 22 per parts. If Sovon Ltd. accepts this offer, the facilities now being used to manufacture the parts could be rented to another company at an annual rental of Tk. 80,000. However, the company has determined that Tk. 6 per unit of the fixed overhead being applied to the parts would continue even the parts are purchased from outside.

Required : Should the parts be purchased from outside or continue to produce in the factory?

Solution : ৩৩১ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old)-2015 No–14(b); (Finance) 2018 No–16(b); 2019 No–06; (Mgt) 2021 No–7; (MBA Preli.) (Mgt) 2019 No–08**

Turjo Company Ltd./ABC Ltd. is a manufacturing concern produces Parts-B in its own factory. The relevant cost of the product as raw material Tk. 20, direct labor Tk. 80, variable overhead Tk. 50 and fixed overhead Tk. 50. Company needs' 2,000 units of Parts-B.

A supplier offers to sell Parts-B to ABC Ltd. at a cost of Tk. 160 per unit. If the offer is accepted fixed overhead can be saved Tk. 35 per unit. Should the offer be accepted?

Solution : ৩৩১ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

ooo (১১%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2018 No–14(b)**

Moon Company manufactures 40,000 parts of specialised products. At this level of activitiy the cost per part is as follows :

Account Titles	Taka
Direct materials	8
Direct labor	7
Variable overhead	2
Fixed overhead	8
Total cost per parts	25

An outside supplier has offered to sell 40,000 parts each year to the company for Tk. 22 per parts. If the company accepts this offer, the facilities now being used to manufacture the parts could be rented to another company at an annual rental of Tk. 80,000. However, the company has determined that Tk. 6 per unit of the fixed overhead being applied to the parts would continue even the parts are purchased from outside.

Required : Should the parts be purchased from outside or continue to the produce in the factory?

Solution : ৩৩২ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Acc.) 2014 No- 7(b); 2018 No–11**

A company currently operating at 80% capacity has the following profitability particulars :

	Taka	Taka
Sales		1,28,000
Costs :		
Direct materials	40,000	
Direct labour	16,000	
Variable overhead	8,000	
Fixed overhead	52,000	1,16,000
Profit		12,000

An export order has been received that would utilize half of the capacity of the factory. The order has either to be accepted in full and executed at 10% below the normal domestic prices or rejected totally. The alternatives available for management is given below:

(i) Reject the order and continue with the domestic sales only as at present.

(ii) Accept the order, split the capacity equally between overseas and domestic sales and turn away excess domestic demand.

(iii) Increase the capacity so as to accept the export order and maintain the present domestic sales by—

(a) Buying an equipment that will increase the capacity by 10% and fixed cost by Tk. 4,000.

(b) Work overtime at a rate of $1\frac{1}{2}$ times of normal wages rate to meet balance of required capacity.

Prepare the comparative statements of profitability and suggest the best alternative

Solution : ৩৩৩ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Accounting) 2015 No- 7(c)**

A company operates two shifts and produces 6,000 units of a product in a month. The cost per unit is as follows :

Direct materials	26 Taka
Direct labour	15 Taka
Overhead (75% of which is fixed)	12 Taka

Administrative and selling expenses per month amount to Tk. 34,500. The possibility of starting the third shift is being studied. Greater quantity of raw materials purchases will reduce cost of all purchases by Tk. 1 per unit. Labour cost of late night shift will be 50% higher. Fixed overhead and administrative & selling expenses will increase by Tk. 2,500 and Tk. 3,100 respectively. The sale price of the product will be reduced from Tk. 70 to Tk. 65 if the third shift is introduced.

Required : A statement showing the effect of the third shift on the monthly income.

Solution : ৩৩৪ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Management) 2017 No–9(b)**

A company produces 9,000 units in two shifts. The cost of which are as follows :

	Taka
Direct materials	1,26,000
Direct labour	81,000
Factory overhead	54,000
Administrative expenses	36,000
Selling expenses	31,500

75% of factory overhead, 100% of administrative expenses and 70% of selling expenses are fixed. The company wants to start a third shift in order to increase its production proportionately. If the third shift is started cost of raw materials will be reduced by 1%. Direct labour cost rate of the third shift will increase by 30%. Fixed factory overhead will increase by 5,000 and the selling price is to be reduced from Tk. 45 to Tk. 42. Should the third shift be started?

Solution : ৩৩৬ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2017 No–14**

Modumoti and Company produces 24,000 units in two shifts, the costs of which are furnished below :—

Account Titles	Taka
Direct material	3,60,000
Direct labour	2,40,000
Factory overhead	1,44,000
Administrative expense	96,000
Selling expense	84,000

75% of factory overhead, 100% of administrative expense and 70% of selling expense are fixed.

Now the management of Modumoti and company is considering to start 3rd shift in order to increase production proportionately. If the third shift is started, cost of all raw materials will be reduced by 2%, direct labour rate of the third shift will increase by 20%, fixed factory overhead will increase by Tk. 12,000 and the selling price is to be reduced from Tk. 150 to Tk. 145.

You are required to give suggestion to management authority whether the 3rd shift should be started.

Solution : ৩৩৮ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2021 No–15**

A company has a capacity of producing 1,00,000 units of a product in a month. The sales department reports that the following schedule of sale price is possible :

Volume of production	Selling price per unit (Tk.)
60%	0.90
70%	0.80
80%	0.75
90%	0.67
100%	0.61

The variable cost of manufacture at each level is Tk. 0.15 per unit and fixed cost Tk. 40,000.

Required :

(i) Prepare a statement showing incremental revenue and differential cost at each stage.

(ii) At which volume of production will the profit be maximum? and

(iii) A foreign buyer offers to purchase the balance capacity over the maximum profit volume at a price of Tk. 0.50 per unit. Will you advise to accept the offer?

Solution : ৩৪০ পৃষ্ঠার **Problem-20** নং প্রশ্নের উত্তর দেখুন।

Chapter 06 Budgeting and Budgetary Control

(বাজেটিং এবং বাজেটীয় নিয়ন্ত্রণ)

Part-A : Brief Questions & Solutions :

ooo 01. **What is budgeting?**

Ans : Budgeting is the co-ordination of financial and non-financial planning of satisfy the organization goal.

oo 02. **What is budget?**

Ans : Budget is a plan showing a company's objectives and how management intends to acquire and use resource to attain those objectives.

Q.(03) What is cash budget? 99%

[N.U. 2012 (Old); 2016, 2020 (Acc.); 2016, 2018, 2020, 2022 (Mgt.); 2016, 2018 (Finance)]

Ans : Cash budget is plan indicating expected inflows (receipts) and outflows (disbursements) of cash.

রকেট স্পেশাল সাজেশন: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

Q.(04) What is master budget? 99%

[Test Exam : B M Suhrawardy, Debendra College, N.U. 2013 (Old); 2016 (Acc.) ;2017, 2019, 2021, 2023 (Mgt.); 2021 (Finance)]

Ans : The master budget is a set of interrelated budget, that constitute a plan of action for a specified time period.

রকেট স্পেশাল সাজেশন: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 05. **What is financial budget?** *[N.U. 2018 (Acc.)]*

Ans : A company must assess financing needs, including an evaluation of potential cash shortages. These tools enable companies to meet with lenders and demonstrate why and when additional support may be needed.

ooo 06. **What is fixed budget?**

Ans : Fixed budget is a budget which is designed to remain unchanged irrespective of the level of activity actually attained.

০০ 07. **What is sales budget?** *[N.U. 2017 (Acc.)]*

Ans : The sales budget is derived from the sales forecast. It represent management's best estimate of sales revenue for the budget.

08. What is production budget? [২০২৪ সালে যা এসেছিল] *[N.U. 2024 (Mgt.)]*

Or, What do you mean by production budget?

Ans : The production budget shows the unit to produce to meet anticipated sales.

০০০ 09. **What do you mean by flexible budget?** 99%

Or, What is flexible budget?

[N.U. 2013, 2015 (Old); 2017, 2020 (Acc.); 2018 (Mgt.)]

Ans : Flexible budget is a budget which is designed to change in accordance with the level of activity actually attained.

০০০ 10. **What is ZBB?** 99% *[N.U. 2016, 2018 (Acc.); 2017, 2019 (Finance; 2023 (Mgt.))]*

Or, What is zero based budget?

Ans : Zero base budgeting is a technique of budgeting where in a manager is required to prepare the budget for his area of activities from scratch i.e. from zero.

০০০ 11. **What is budget cycle?** 99% *[N.U. 2021 (Mgt.)]*

Ans. All the activities of budgetary control system are to be done in circulating nature. This circulating nature of budgeting is called budget cycle.

০০০ 12. **What is capital budgeting?** *[N.U. 2016 (Mgt.)]*

Ans : Capital budgeting refers to the planning of expenditure whose returns are expected to spread over a series of years.

০০০ 13. **What is payback period?** 99%

[N.U. 2020 (Finance); 2022 (Mgt.)]

Ans : The payback period is the length of time that it takes for a project to recover its initial cost from the net cash inflows that it generates.

০০ 14. **What is cost of capital?** *[N.U. 2021 (Finance)]*

Ans : The appropriate interest rate is the cost of the finance provided to the company by shareholders and other investors, as investment projects have to earn a return at least sufficient to pay the interest on the funds they utilize.

০০০ 15. **What is NPV?** 99% *[N.U. 2017 (Acc.); 2016 (Mgt.)]*

Ans : Capital investments usually earn return that extends over fairly long period of time.

০০ 16. **Define profitability index?**

Ans : A measurement of the p fitability of an investment computed by di ing the net present value by the initial cost of investment.

০০০ 17. **Write the formula of net profitability index?**

Ans : Net Profitability Index = PI – 1.

০০০ 18. **What is meant by MAPI?**

Ans : The MAPI (Machinery and Allied Products Institute) method developed by George Terborgh is a sophisticated method for evaluating capital investment decisions.

19. Define IRR. [২০২৪ সালে যা এসেছিল]

Or, What is IRR?

[Test Exam : B.M, M.M, Suhrawardy & Debendra College; N.U. 2015 (Old); 2018, 2021, 2024 (Mgt.); 2021 (Acc.)]

Or, What is meant by IRR?

***Ans :** The internal rate of return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.*

০০০ (20) **What is meant by budgetary control?** 99%

Or, What is budgetary control? *[N.U. 2016, 2018 (Acc.); 2017, 2020, 2023 (Mgt.); 2016 (Finance)]*

Ans. The exercise of control in the organization with the help of budgets is known as budgetary control.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

21. What is capital rationing? [২০২৪ সালে যা এসেছিল]

[N.U. 2016, 2020, 2021 (Acc.); 2017, 2019, 2022, 2024 (Mgt.); 2017, 2019 (Finance)]

***Ans.** Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.*

০০০ 22. **What is budget centre?** *[N.U. 2018 (Acc.)]*

Ans. Budget centre is the segment of the enterprise in respect of which budget is first prepared.

০০০ 23. **What is operating budget?** *[N.U. 2019 (Acc.)]*

Ans. The operating budget focuses on the income statement and its supporting schedules or in an organization with no sales revenues on budgeted expenses and supporting schedules.

০০০ (24) **Define working capital.** 99%

[N.U. 2018, 2020, 2022 (Mgt.); 2021 (Acc.)]

Or, What is working capital?

Ans. Working capital is the amount of money a business has available of funds its day to day operations.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 25. **Elaborate IFAC.** *[N.U. 2017 (Finance)]*

Ans. International Federation of Accountants.

oo 26. **What is sales forecasting?** *[N.U. 2017 (Finance)]*
Ans. Sales forecasting is a statement of what the amount or value of a company's sales is likely to be in the future, based on information available now about the market, past sales, etc.

ooo 27. **What is proforma statement?** *[N.U. 2017 (Finance)]*
Ans. The master budget/proforma statement is a set of interrelated budget, that constitute a plan of action for a specified time period.

ooo 28. **What is strategic budget?** *[N.U. 2020 (Finance)]*
Ans. The budget adjusted for strategic planning is called strategic budget.

ooo 29. **Elaborate : TQM, CAT.** 99% *[N.U. 2021 (Mgt)]*
Ans. TQM = Total Quality Management. and **CAT** = Certified Accounting Technician.

Part- B & C (Short & Broad Questions) :

ooo 01. Discuss the objectives of budgetary control.
[Ans ব্যবস্থাপনা ইন্টারফেস (৪র্থ খণ্ড) বইয়ের 344 Page 6.10 No.] *[Test Exam : Suhrawardy College, N.U.BBA 2009]*

oo 02. Define sales budget. Describe the factors considered in preparing sales budget.
[Ans: 350 Page 6.28+6.29 No.] *[N.U.(Acc.) -2018]*

ooo 03. **Distinguish between budget and forecast.** 99% **[Ans: 345 Page 6.14 No.]**
[N.U. BBA (Hon's) (Old) -2013;(Acc.) -2016; (Mgt.) -2017]

ooo 04. Discuss the advantages and limitations of budgetary control. **[Ans: 345 Page 6.11+6.12 No.]**
[N.U.BBA (Hon's) (Mgt.) -2019]

ooo 05. **(a) What do you mean by budget and budgetary control?** 99% **[Ans: 342+344 Page 6.01+6.09 No.]**
Or, Define budget and budgetary control. *[N.U.BBA (Old) -2005, 2009, 2010 ; (Mgt.) -2019, 2021]*
Or, What is the meaning of budget and budgetary control?
(b) Describe the essentials of a good budgetary control system. 99% **[Ans: 349 Page 6.25 No.]**
[Test Exam : Pangsha, B.L, R.M, Satkhira, Sadat College; N.U.(Acc.) -2016; (Finance) 2019, (Mgt.) 2021]
Or,Discuss the essentials elements of a good budgetary control.

oo 06. Discuss the components of master budget. **[Ans: 347 Page 6.21 No.]**
[Test Exam :Dhaka, Magara, Monsar Ali, Daokandi, Nzaimuddin, Pabna College N.U. (Old) -2015;(Acc.) -2018; (Finance)-2017; 2022 (Mgt.)]

ooo (07) **(a) Discuss the steps of budgetary control.** 99% **[Ans: 325 Page 5.20 No:]** *[N.U. (Mgt.)-2016, 2023]*
(b) Distinguish between budget and budgetary control. 99% **[Ans: 345 Page 6.13 No.]**
Or, What are the differeces between budget and budgetary control?
[Test Exam : Dhaka, Eden & Debendra College; N.U. (Old) -2005, 2007, 2008, 2010, 2014, 2015;(Acc.) 2017; (Mgt.) -2016, 2023]
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

11. (a) "Budgetary control is a good tool of management"—Explain. **[Ans : Page No. 346; Ques. No. 6.16]** *[N.U. 2024 (Mgt.)]*
(b) Discuss the causes of failure of budgetary control in Bangladesh. **[Ans : Page No. 542; Ques. No. 11 (b)]** *[N.U. 2024 (Mgt.)]*
12. (b) Discuss the various techniques of capital budgeting. **[Ans : Page No. 354; Ques. No. 6.48]** *[N.U. 2024 (Mgt.)]*

Help Line ***Dear Students, In above Suggestions 'Part-B and Part-C : 05 & 07 No. Questions in are most important for the Examinee of 2025. ..... Editor***

Easy Math Basic Problem : Category-B & C

1. Purchase Budget

oo **Problem-01** ***Basic Question & Solution***

The sales director of a manufacturing company reports that next year he expects to sell 54,000 units of a certain product. The production manager consults the store-keeper and casts his figures as follows :
Two kinds of raw materials, A and B are required for manufacturing the product. Each unit of the product requires 2 units of A and 3 units of B. The estimated opening balances at the commencement of the next year are :

Finished product – 10,000 units, A – 12,000 units, B – 15,000 units.

The desirable closing balances at the end of the next year are:

Finished product – 14,000 units, A – 13,000 units, B– 16,000 units.

Draw up a quantitative chart showing the materials purchases budget for the next year.

Solution : ব্যবস্থাপনা হিসাব বিজ্ঞান (৪র্থ খণ্ড) বইয়ের ৩৬১ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

2. Sales Budget

○○○ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Old-2015 No–15(b); 3rd (Finance) 2019 No–15**

PQR Ltd./ABC Ltd. produces and sales two types of products named 'K' and 'M'. In 2017, the sales of the products were as follows :

Regions	Product A	Product B
East	20,000 units	30,000 units
West	25,000 units	35,000 units

The standard selling price of product 'K' and 'M' are Tk. 5 and Tk. 8 respectively. The following points are to be considered in preparation of sales budget in 2018.

(a) The selling price of 'K' should be reduced by 20% to increase the volume of sales by 30%.

(b) Due to scarcity of raw materials of product 'M', 20% of the plant in which 'M' is produced will remain idle for which selling price of 'M' should be increased by 25%.

Prepare a sales budget for 2018.

Solution : ৩৬২ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

3. Labour Budget

○○ **Problem-03** ***Basic Question & Solution***

For Everly Company, units to be produced are 5,000 in 1st quarter and 6,000 in 2nd quarter. It takes 1.5 hours to make a finished unit and the expected hourly wage rate is Tk. 14 per hour. Prepare a direct labour budget by quarters for the 6 months ending June 30, 2013.

Solution : ৩৬২ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

4. Overhead budget

○○ **Problem-04** ***Basic Question & Solution***

Hardin Company is preparing its manufacturing overhead budget for 2013. Relevant data consist of the following.

Units to be produced (by quarters) : 10,000, 12,000, 14,000, 16,000.

Direct labour : Time is 1.5 hours per unit.

Variable overhead costs per direct labour hour : Indirect materials Tk. 0.70; indirect labour Tk. 1.20 and maintenance Tk. 0.50.

Fixed overhead costs per quarter : Supervisory salaries Tk. 35,000, depreciation expense Tk. 16,000 and maintenance Tk. 12,000

Instructions : Prepare the manufacturing overhead budget for the year showing quarterly data.

Solution : ৩৬৩ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

5. Materials budget

০০ **Problem-05** ***Basic Question & Solution***

Ortiz Company has 1,600 pounds of raw materials in its December 31, 2012, ending inventory. Required production for January and February of 2013 are 4,000 and 5,500 units, respectively. Two pounds of raw materials are needed for each unit, and the estimated cost per pound is Tk. 6. Management desires an ending inventory equal to 20% of next month's materials requirements. Prepare the direct materials budget for January.

Solution : ৩৬৩ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

6. Production Budget

ooo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2017 No–06; (Finance) 2019 No-08**

Nike made/Dunlop made 40,000 basket-balls in a given year. Its manufacturing cost were Tk. 2,88,000 variable and Tk. 95,000 fixed. Assume that no price changes will occur in the following year and that no changes in production methods and applicable.

Compute the budgeted cost for producing 44,000 basket-balls in the following year.

Solution : ৩৬৪ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2023 No–7**

Nur Ltd. will start a business from 1st January, 2022. Followings are the budgeted sale for 2022.

Estimated sales (in units)	January	February	March	April	May
	50,000	40,000	46,000	42,000	44,000

The company has a policy of carrying an end of the month inventory at 100% of the following month's sales plus 50% of the second following month's sales.

Required : Prepare a production budget for the first three months.

Solution : ৩৬৫ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

০০০ (১১%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2020 No– 09**

Gold Star Ltd. has budgeted sales of its products for the next four months as follows :

Month	Sales in units
April	50,000
May	75,000
June	90,000
July	80,000

The company is now in the process of preparing a production budget for the second quarter. Past experience has shown that end-of-month inventory levels must equal 10% of the following month's sales. The inventory at the end of March was 5,000 units.

Required : Prepare a production budget for the second quarter.

Solution : ৩৬৪ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2012 No–12; Finance-2018 No–14**

Ahsan Ltd. manufactures product A and product B. During the year ending 31st December, 2017, it is expected to sell 20,000 kg of product A and 80,000 kg of product B at Tk. 12 and Tk. 10 per kg respectively. The direct material X, Y and Z are mixed in the proportion of 3:5: 2 in the manufacture of product A. Material Y and Z are mixed in the proportion of 1: 2 in the manufacture of product B.

	Opening stock	Closing stock	Anticipation cost per kg
			Taka
Raw material-X	5,000	4,000	5.00
Raw material-Y	4,000	8,000	4.00
Raw material-Z	25,000	8,000	3.00
Product-A	5,000	3,000	
Product-B	6,000	7,000	

Prepare the production budget and the materials purchase budget for the year ended 31st December, 2017.

Solution : ৩৬৬ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

7. Cash Budget

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–08**

ABC Company's sales budget for the third quarter of 2020 is given below :

Particular	July (Tk.)	August (Tk.)	September (Tk.)	Total (Tk.)
Budgeted sales	3,00,000	4,00,000	3,50,000	10,50,000

25 percent of a month's sales are collected in the month of sales, 65 percent is collected in the month following sales and remaining 10 percent is collected in the second month following sale. May sales totalled Tk. 2,50,000 and June sales totalled Tk. 2,50,000.

Required : Show the schedule of cash collections from sales by month and in total third quarter.

Solution : ৩৬৮ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No–16(a)**

Sales budget of HRM Enterprise from April to June are given below :

Month	Credit sales	Credit Purchase	Wages and Expense
February	70,000	50,000	6,000
March	60,000	40,000	6,000
April	90,000	70,000	7,000
May	80,000	45,000	6,000
June	50,000	30,000	8,000

Additional considerations :

(i) Credit allowed to customers is two months and from suppliers one month.

(ii) Lag in payment of wages and expenses is one month.

Required :

(i) Show the cash collections from April to June.

(ii) Show the schedule of cash payments for wages and expenses.

Solution : ৩৬৯ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Old 2014 No–06; Finance 2021 No–09**

Sales proceeds of a Co. are collected as follows:
40% in the month of sales
40% in the second month and
20% in the third month.
Sales for the month of June Tk. 2,40,000. Accounts receivable are Tk. 1,20,000 in May, 31, 2015. Consisting of Tk. 30,000 from April sales and Tk. 90,000 from May sales.
Show the schedule of cash collection from sales for the month of June' 2015.

Solution : ৩৬৯ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's)Accounting-2018 No–15**

Considering the following income statement, prepare a cash budget of the Silver Co. for the month of June 2017.

The Silver Company Ltd.

Budgeted income statement for the month of June, 2017

	Taka	Taka
Sales		2,40,000
Inventory, May 31	40,000	
Purchase	1,60,000	
	2,00,000	
Inventory, June 30	30,000	1,70,000
Gross margin		70,000
Operating expenses :		
Wages	25,000	
Utilities	5,000	
Advertising	7,000	
Depreciation	3,000	
Office expense	4,000	
Insurance	3,000	47,000
Operating income		23,000

The cash balance on May 31, 2017 is Tk. 40,000. Sales proceeds are collected as follows :
40% in the month of sales; 40% in the 2nd month and 20% in the 3rd month. Accounts receivables are Tk. 1,20,000 in May 31, 2017 consisting of Tk. 30,000 from April's sales and Tk. 90,000 from May's sales. Accounts payable on May 31, 2017 are Tk. 1,20,000. The company pays 25% of the purchase during the month of purchase and the remainder during the following month. All operating expenses requiring cash are paid during the month of recognition. However, insurance is paid annually in December. Confine you analysis go given data. Ignore income tax.

Solution : ৩৭৩ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–13; (Acc.) 2016 No–16(b); (Finance) 2020 No– 05; (Mgt) 2022 No–15; 4th (Acc.) 2016, 2019 No–12; D.U. 3rd (Acc.) 2016 No–15**

Lamiya/Modern/Puspita/Rose/Ayesha Manufacturing Company has the following forecast data available :

Particulars	September (Tk.)	October (Tk.)
Cash sales	40,000	60,000
Sales on credit	77,500	95,000
Cash purchase	20,000	20,000
Purchase on credit	1,00,000	80,000

Purchase discounts	6,000	3,000
Accounts payable beginning	10,000	12,000
Accounts payable ending	12,000	9,000
Cash operating expenses	46,500	10,000

Net sales on credit are collected 50% in the month of sales, 40% in the following and 10% in the second following months. Such sales in July August were Tk. 1,00,000 and Tk. 1,20,000 respectively. The September 1 cash balance is Tk. 13,000. Prepare a cash budget for September and October.

Solution : ৩৭৪ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No– 13; (Finance) 2016 No–16; (Mgt.) 2016 No–15; 2020 No– 16**

From the following information supplied by XYZ Ltd./ABC Ltd. prepare a cash Budget for the period from 1st October, 2010 to 31st December, 2010 :

Months	Credit purchases	Credit sales	Wages and other expenses
	Taka	Taka	Taka
August	92,000	1,85,000	58,000
September	1,00,000	2,10,000	65,000
October	1,20,000	2,45,000	75,000
November	90,000	1,75,000	54,000
December	98,000	1,82,000	56,000

Additional information :

(i) Expected cash balance on 1st October Tk. 10,500.
(ii) Period of credit allowed to debtors—2 (two) months.
(iii) Period of credit allowed by creditors—1 (one) month.
(iv) Lag in payment of wages and other expenses—1 (one) month.
(v) Selling commission @ 2% on sales is payable one month after sales.
(vi) Expenditure on machinery worth Tk. 50,000 is payable in October.

Solution : ৩৭৬ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management-2018 No–15**

Prepare cash budget of Green Light Ltd. for August to September, 2017 from the data given below :-

(i) Sales purchases, wages and other expenses of the budgeted period.

Account Titles	May Tk.	June Tk.	July Tk.	August Tk.	September Tk.
Sales	8,00,000	7,50,000	9,00,000	8,50,000	8,00,000
Purchases	4,00,000	4,20,000	5,00,000	5,50,000	3,50,000
Wages	1,80,000	2,20,000	2,40,000	2,20,000	1,80,000
Other expenses	60,000	60,000	70,000	60,000	50,000

(ii) Credit allowed to the customer for 2 (two) months and from suppliers 1 (one) month.
(iii) Lag in payment of wages and other expenses $\frac{1}{2}$ a month.
(iv) Sales and purchase are made 10% on cash and 90% on credit.
(v) Sales commission @ 2% on the sales is payable in the month, following month collection.
(vi) Advance income tax payable in August Tk. 40,000.
(vii) Rent payable in cash per month Tk. 3,000.
(viii) The cash balance on 1st August Tk. 1,30,000.

Solution : ৩৮০ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2023 No–15**

Prepare a cash budget of Jamuna Ltd. for April to May, 2022 from the data giyen below :

(i) Sales, purchases, wages and other expenses of the budgeted period.

Particulars	January	February	March	April	May
Sales	10,00,000	9,00,000	9,50,000	10,00,000	9,50,000
Purchases	5,00,000	4,20,000	4,80,000	5,50,000	4,80,000
Wages	2,00,000	1,80,000	1,90,000	2,00,000	1,90,000
Other expenses	80,000	70,000	70,000	80,000	70,000

(ii) Credit allowed to the customer for two months and from suppliers one month.

(iii) Sales and purchase are made 20% on cash and the rest on credit.

(iv) Sales commission @ 2% on the sale in the month following month collection.

(v) Lag in payment of wages and other expenses $\frac{1}{2}$ a month.

(vi) Advance income tax payabie in April Tk. 60,000.

(vii) Rent payable in cash per month Tk. 5,000.

(viii) The cash balance on 1st April Tk. 1,50,000.

Solution : ৩৮১ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

০০★ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

8. Capital Budget

০০ **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Accounting-2017 No–08**

A Machine is purchased for Tk. 1,00,000 having an economic life 5 years. The cash inflows from this machine for five years are Tk. 10,000, Tk. 15,000, Tk. 50,000, Tk. 40,000 and Tk. 60,000. If the tax is 30%, What is cashflow after taxes (CFAT)?

Solution : ৩৮৬ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-19** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Management-2018 No–07**

AKS Company is interest to invest Tk. 50,000 in a project. It is expected that project would have life of 5 years. The cash flows from the project in different years would be as follows :-

Year	Cash in flows (Taka)
1	15,000
2	18,000
3	25,000
4	27,000
5	30,000

Depreciation should be charged on a straight line basis. The cost of capital is 10%. The company's tax rate is 40%. Evaluate the project on the basis of present value payback period.

Solution : ৩৮৯ পৃষ্ঠার **Problem-35** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-20** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No– 07; (Management) 2021 No–8**

A project initial cost is Tk. 80,000. Its expected life is 5 years and discount rate is 10%. Cash inflows are given below :

Year	Amount (Taka)
1	24,000
2	30,000
3	26,000
4	20,000
5	28,000

You are required to calculate discounted payback period.

Solution : ৩৯০ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-21** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2023 No–14**

Mr. Zakaria wants to invest Tk. 1,00,000. He has two proposals, which on project is selected by him. First proposal produce CFBT of Tk. 35,000 for next 5 years and second proposal produce the following CFBT :

1st year	Tk. 35,000
2nd year	Tk. 40,000
3td year	Tk. 32,000
4th year	Tk. 40,000
5th year	Tk. 45,000

If tax rate is 40% which project select by Mr. Zakaria?

Solution : ৪০৭ পৃষ্ঠার **Problem-55** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল]

⊗⊗ **Problem-22** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–7**

AR Manufacturing Co. wants to invest Tk. 5,00,000 in a new project. The CFAT for next 5 years expects equally of Tk. 1,35,000. The cost of the capital is 10.25%. Calculate NPV.

Solution : ৫৪১ পৃষ্ঠার **Question No-7** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-23** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2020 No– 07**

Meghna Ltd. is considering to purchase a new machine. The machine will cost Tk. 3,00,000. The cash inflows per year would be Tk. 80,000. The machines economic life is 10 years and cost of capital is 12%. The tax rate of the company is 45%. Calculate NPV and suggest whether the machine should be purchased or not. Assume PVIFA for Tk. 1.00 @ 12%, 10 years is 5.6502.

Solution : ৩৯১ পৃষ্ঠার **Problem-39** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-24** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2022 No–5**

The following information is available in respect of a project :

Investment	Tk. 10,00,000
Salvage value	Tk. 60,000
Life of the project	20 Years
Annual profit before tax	Tk. 1,80,000

Required : (i) PBP (ii) ARR.

Solution : ৩৯২ পৃষ্ঠার **Problem-41** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০০ **Problem-25** ***Year Question & Solution*** **⊙N.U. BBA (Hon's) 3rd (Old) 2012 No–06; (Accounting) 2016 No–08; Finance-2016 No–06**

Hannan Manufacturing Co. Ltd./Hasan Manufacturing Co. Ltd./Mounia Manufacturing Ltd. is examining the profitability of investing in new project. The following information is available in respect of the project :

Investment	Tk. 12,60,000
Residual value at the end of life	Tk. 60,000
Life of the project	20 years
Annual profit of the project (before tax)	Tk. 1,80,000
Tax rate 50%	

Required :

(i) Annual cash in flow :

(ii) Payback period :

(iii) Rate of return on average investment

Solution : ৩৯৩ পৃষ্ঠার **Problem-42** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-26** ***Year Question & Solution*** **⊙ N.U. BBA (Hon's) Old-2014 No–04; Finance-2018 No–07**

Diya Enterprise is considering a new product line. The details of the investment proposal are as follows : :

	Tk.
Initial cash outlay	Tk. 1,00,000
Expected life	5 years
Scrap value	Tk. 10,000
Working capital	Tk. 20,000
Year	CFBT (in Tk.)
1	25,000
2	30,000
3	32,000
4	15,000
5	40,000

The project cost of capital is 10% and tax rate 45%. Depreciation will be straight line basis. You are required to calculate :

(i) Pay back period;

(ii) Average rate of return.

Solution : ৩৯৭ পৃষ্ঠার **Problem-46** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-27** ***Year Question & Solution*** **⊙ N.U. BBA (Hon's) 3rd (Mgt) 2023 No–8**

Mihita Ltd. wants to invest Tk. 4,00,000 in a new project and cash inflows for the next 4 years are as follows :

Estimated earnings after tax	
Year	**Taka**
1	0
2	50,000
3	65,000
4	70,000
Working capital	45,000
Salvage value	40,000

Depreciation : Straight line method

Required : Calculate (i) Pay back period and (ii) Average rate of return.

Solution : ৩৯৬ পৃষ্ঠার **Problem-45** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-28** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management-2018 No–14**

A company is considering an investment proposal which requires an initial cash outlay of Tk. 50,000. The investment will have a life of 5 years. The project will have no salvage value at the end of the life. The company uses straight line method at depreciation. The company's tax rate is 40%. The estimated cash flow before tax are follows :-

Year	Cash flows (Taka)
1	12,000
2	14,000
3	16,000
4	18,000
5	20,000

The PV factors are : 0.9091; 0.8264; 0.7513; 0.6830 and 0.6209

Required :

(i) Pay back period (PBP)
(ii) Net present value (NPV)
(iii) Profitability index (PI)
(iv) Net profitability index (NPI)
(v) Super life

Solution : ৪০১ পৃষ্ঠার **Problem-50** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-29** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Old-2014 No–14**

SP Ltd. is considering a proposal to install a new machine. The project will cost Tk. 1,00,000 and its expected life is five years. The estimated cash inflows before tax (CFBT) of the project are as follows : :

Year	CFBT Tk.
1	25,000
2	30,000
3	35,000
4	40,000
5	45,000

The tax tate is 50% and charges depreciation on straight line basis.

Required :

(a) Return on investment
(b) Discounted pay back period at 10% discount rate-
(c) Net present value at 10% discount rate
(d) Profitability index at 10% discount rate.

Solution : ৪০৩ পৃষ্ঠার **Problem-52** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-30** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2022 No–7**

The initial cost of a project is Tk. 50,000 and cash inflows for the next 5 years are as follows :

Year	Earnings after depreciation and tax
1	10,000
2	9,000
3	8,000
4	7,000
5	6,000

Calculate the NPV if discount rate is 10%. Assume straight line method of depreciation.

Solution : ৩৮৭ পৃষ্ঠার **Problem-33** নং প্রশ্নের উত্তর দেখুন।

রকেট (৯৯%) [রকেট স্পেশাল সাজেশন : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-31** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No– 12**

A Company wants to invest in a project the initial outlay of which is Tk. 27,000. The relevant cashflows of the project is given below :

Year	Cash flow
1	11,000
2	10,000
3	9,000
4	8,000

The firms cost of capital is 14%. Calculate :

(i) Net present value (NPV)

(ii) Internal rate of return (IRR).

Solution : ৪০৮ পৃষ্ঠার **Problem-56** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-32** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2016 No–13; (MBA Preli.) (Management) 2018 No–14**

Rohan Chemical Company/A chemical company is considering a project which requires an investment of Tk. 4,00,000. The estimated salvage value is zero. Tax rate is 40%, The company uses straight line depreciation and the proposed project has cash flows before tax (CFBT) as follows :

Year	CFBT
	Taka
1	1,00,000
2	1,00,000
3	1,50,000
4	1,50,000
5	2,50,000

Required :

(i) Payback period;

(ii) Net present value @ 14%;

(iii) Internal rate of return (IRR.)

Solution : ৪১০ পৃষ্ঠার **Problem-58** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊠⊠ **Problem-33** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–14**

The details of investment of ABC Ltd. are given below :

Initial cash outlay (Tk.)	2,20,000
Salvage value (Tk.)	20,000
Working capital (Tk.)	20,000

Expected life 5 years and cash flow are given below :

Year	Taka
1	50,000
2	60,000
3	75,000
4	80,000
5	1,00,000

The company cost of capital is 10% and corporate tax 50%. Find out :
(i) Payback period (PBP)
(ii) Net present value (NPV)
(iii) Internal rate of return (IRR).

Solution : ৫৪৪ পৃষ্ঠার **Question No-14** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-34** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 17**

The details of investment proposal of ASM Company are given below :

Initial cash outlay (Tk.)	1,00,000
Expected life	5 years
Salvage value (Tk.)	10,000
Working capital (Tk.)	20,000

Cash inflows before tax :

Year	Taka
1	25,000
2	30,000
3	35,000
4	40,000
5	50,000

The company's cost of capital is 10% and corporate tax rate is 40%. The project will be depreciated on the basis of straight line. Evaluate the project on the basis of
(i) Payback period (PBP)
(ii) Net present value (NPV)
(iii) Profitability index (PI)
(iv) Internal rate of return (IRR).

Solution : ৪১২ পৃষ্ঠার **Problem-60** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-35** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's)Accounting- 2016 No–14(b)**

Raj Chemical Company is considering a project which requires an investment of Tk. 40,000. The estimated salvage value is zero. Tax rate 50%, cost of capital 10%. The company uses straight line depreciation and the proposed project cash-flows before tax (CFBT) as follows :—

At the end of year	1	2	3	4	5
CFBT (Tk.)	10,000	10,000	15,000	15,000	25,000

Determine payback period and IRR if cost of capital 10%.

Solution : ৪১৪ পৃষ্ঠার **Problem-62** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-36** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Management-2017 No–17**

You are a financial analyst of a company. The director of capital budgeting has asked you to analyze two proposed capital investments, project A and B. Each project has a cost of Tk. 10,000 and the cost of capital for each project is 12%. The project's expected net cash-flows are as follows :

Expected net cash-flows

Year	Project A	Project B
0	(Tk. 10,000)	(Tk. 10,000)
1	6,500	3,500
2	3,000	3,500
3	3,500	3,000
4	1,500	2,500

(i) Which project should be accepted if they are independent?
(ii) Which project should be accepted if they are mutually exclusive?

Solution : ৪১৫ পৃষ্ঠার **Problem-63** নং প্রশ্নের উত্তর দেখুন।

○○○ **Problem-37** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2019 No–16**

From the following data calculate :
(i) Pay back period.
(ii) NPV.
(iii) IRR for the following projects.

Assume a required rate of return 14% and 40% tax rate. The company has a policy of charging depreciation on straight line method.

	Project-X	**Project-Y**
Initial outlay	Tk. 1,00,000	Tk. 1,40,000
Salvage value	Nil	Tk. 20,000
Expected life	5 years	5 years

Earnings before depreciation and taxes

Year	Taka	Taka
1	25,000	45,000
2	30,000	35,000
3	20,000	30,000
4	20,000	30,000
5	15,000	25,000

Which of the projects would you select and why?

Solution : ৪১৮ পৃষ্ঠার **Problem-65** নং প্রশ্নের উত্তর দেখুন।

Chapter 07 Flexible Budget

(নমনীয় বাজেট)

Part-A : Brief Questions & Solutions :

○○ **01. What do you meant by flexible budget?**
[Test Exam : Kabi Nazrul & Jalmatia College]
Ans : A budget which is designed to changed in accordance with the level of activity actually attained is called flexible budget.

○○○ **02. What is static budget?** *[N.U. 2021 (Finance)]*
Or, What do you mean by static/fixed budget?
Ans : A budget which is designed to remain unchanged irrespective of the level of activity actual attained is called static/fixed budget.

○○○ **03. What is budget variance?** 99%
[N.U. 2018 (Acc.); 2019 (Finance)]
Ans : A budget variance is an accounting term that describes instances where actual costs are either higher or lower than the standard or projected costs.

○○ **04. Write down steps of preparing flexible budget.**
Ans : (a) Fix the range of activity level,
(b) Cost analysis,
(c) Select the activity level,
(d) Prepare the budget at each activity level.

○○○ **05. What is cost behaviour analysis?**
Ans : Cost behaviour analysis is the study of how specific costs respond to changes is the level of business activity.

○○○ **06. Mention feature of variable cost.**
Ans : There are two variable cost:
(i) Variable cost in total amount as the activity level changes.
(ii) Unit variable cost is fixed.

ooo 07. **Give two examples of semi-variable costs.** 99%
[N.U. 2016 (Mgt.); 2017, 2020 (Finance)]

Ans : Telephone expenses (Fixed or land phone), Light and Electricity expenses.

08 **What is semi-variable cost?** 99%
[N.U. 2017 (Acc.); 2020 (Mgt.)]

Ans. Semi-variable cost is the mixture of variable cost and fixed cost.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 09. **Write two example of variable costs.**
[N.U. 2017 (Finance)]

Ans : There are two variable cost:
(i) Variable cost in total amount as the activity level changes.
(ii) Unit variable cost is fixed.

Part- B & C (Short & Broad Questions) :

oo 01. Define and explain fixed and flexible budget. [Ans: ব্যবস্থাপনা হিসাবিজ্ঞান (৪র্থ খণ্ড) বইয়ের Page 420+423; Ques 7.01+7.13 No.]
[N.U. BBA (Hon's) (Old) -2007]

ooo 02. Discuss the necessary of classification of fixed and variable cost? **[Ans: 422 Page 7.07 No.]**

ooo 03. **What are the advantages of flexible budget?** 99% **[Ans: 421 Page 7.02 No.]**
[Test Exam : Siddashsori College; N.U. Accounting-2016, 2017; (Mgt.) -2018]

Or, Discuss the importance of flexible budget.

ooo 04. **Distinguish between flexible budgets and master budgets.** 99% **[Ans: 424 Page 7.18 No.]**
[N.U. 2020 (Finance)]

oo 05. Discuss the features/characteristics of flexible budget. **[Ans: 421 Page 7.04 No.]**

ooo 06. Describe the steps on preparation of flexiable budget. **[Ans: 424 Page 7.17 No.]**

07 **Show the differences between fixed budget and flexible budget.** 99% **[Ans: 422 Page 7.08 No.]**
[Test Exam : Dhaka College; N.U. BBA (Hon's) (Old) -2012, 2015(Acc.) 2017; (Finance)-2018; (Mgt.) 2020, 2022]

Or, What are the differences between fixed budget and flexible budget?

Or, Show the four differences between fixed budget and flexible budget.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

12. (a) Differentiate between cash budget and flexible budget. **[Ans : Page No. 543; Ques. No. 12 (a)]** *[N.U. 2024 (Mgt.)]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 04 & 07 No. Question in are most important for the Examinee of 2025. ..... Editor***

Easy Math Basic Problem : Category-B & C

ooo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2019 No–15**

MARSA Ltd. is engaged in production of certain product at an estimated cost per unit as under :

	Taka
Raw materials	15
Direct wages	10
Direct expenses	3
Variable overhead	5
	33

The company has production capacity of 20,000 units at 100% level. The semi-variable overhead is estimated at Tk. 60,000 at 100% level and it varies in steps of Tk. 2,500 for each change of output of 2,000 units. Fixed overhead is estimated at Tk. 70,000 and the products are sold in the market at Tk. 50 per unit.

Prepare a flexible budget at 50%, 70% and 90% level.

Solution : ব্যবস্থাপনা হিসাবিজ্ঞান (৪র্থ খণ্ড) বইয়ের ৪৩১ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2021 No–14**

The expenses budget for production of 10,000 units in a factory are given below :

Details	Unit cost (Tk.)
Raw materials	80
Direct labor	30
Variable overheads	20
Fixed overheads (Tk. 1,00,000)	10
Variable expenses (Direct)	5
Selling expenses (10% fixed)	14
Distribution expenses (80% variable)	8
Administrative expenses (Tk. 50,000)	5
Total cost per unit	172

Prepare a flexible budget for the production of 6,000 units, 8,000 units and 12,000 units.

Solution : ৪২৬ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2016 No-14; 2017 No-15**

On the basis of standard working level (100% normal capacity), the following information is given about Nitol Industry :

Standard working level (100%) = 4,000 labour hours.

Account titles	Fixed expenses Tk.	Variable expenses per unit Tk.
Insurance	5,000	
Taxes	4,000	
Depreciation	8,000	
Supervisor salaries	12,000	
Variable expenses :		
Indirect materials and supplies		3.00
Indirect wages		2.00
Miscellaneous		0.50
Semi-variable expenses :		
Maintenances	5,000	1.00
Power house	8,000	0.50
General	3,000	0.50

Required : Prepare a flexible budget at 90%, 100% and 110% working level of indirect production expenses and calculate expense rate at these level.

Solution : ৪৩২ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Management-2016 No-14**

The statement given below gives the flexible budget at 60% capacity. Prepare a tabulated statement giving the budget figures at 75% capacity and 90% capacity. When no indication has been given make your own classification of expenses between fixed and variable overheads :

Expenses	At 60% capacity Taka
Direct materials	1,60,000
Direct labour	40,000
Indirect materials and spares	48,000
Depreciation	60,000
Indirect labour	40,000
Rent	12,000
Electric power (40% fixed)	8,000
Repairs and maintenance (40% variable)	20,000
Insurance on machinery	12,000

Solution : ৪৩৩ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Accounting 2018 No-16**

From the following details against production of 8,000 units in 2016, Prepare flexible budget for 10,000 and 12,000 units for 2017 :

	Taka
Materials	40,000
Direct expenses	16,000
Wages	30,000
Factory expenses	20,000
Administrative expenses	40,000
Selling expenses	30,000
Total expenses	1,76,000
Sales	2,40,000
Profit	Tk. 64,090

Materials cost is likely to go up by 2% per unit. Wages are paid at a piece rate of Tk. 3 per unit. The fixed benefits paid to worker are likely to go up by 10%. Administrative expenses may go up by 5% due to normal increment. Selling expenses rise by 5% against increase of 20% or any part there of above 8,000 units. All selling prices are to be reduced by 10% if production above 10,000 units are to be sold.

Solution : ৪৩৬ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No-15(b); 3rd (Finance) 2017 No-09; 2019 No-16; MBA Preli (Mgt.) 2014 No-4(b)**

A factory is currently running at 50% capacity and produces 10,000 units at a cost of Tk. 180 per unit as per details below :

Material Tk. 100, wages Tk. 30, factory overhead Tk. 30 (40% fixed), administration overheads Tk. 20 (50% fixed). The current selling price is Tk. 200 per unit.

At 60% capacity working, material cost per unit increased by 2% and selling price per unit falls by 2%. At 80% capacity working material cost per unit increased by 5% and selling price per unit falls by 5%.

Prepare a marginal cost statement showing the total cost and profit for the three capacity levels. Also give your comments on the profitability at these levels of performance.

Solution : ৪৩৯ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল]

☒☒ Problem-07 Year Question & Solution ⊙ N.U. BBA (Hon's) 3rd (Mgt) 2024 No–16

Naim Ltd. has been operating at 50% capacity (5,000 units). The following information are obtain from the records of the company for the 2024 :

Accounts titles	Taka
Direct materials	75,000
Direct wages	40,000
Direct expenses	21,000
Works overhead (50% variable)	13,000
Administrative overhead (fixed)	24,000
Selling and marketing overhead (40% variable)	17,000
Sales	2,40,000

The boost up sales above 75% level of activity, a reduction of 5% in the selling price is contemplated. On the basis of above information, you are required to prepare a flexible budget at 60%, 75% and 90% capacity level.

Solution : ৫৪৭ পৃষ্ঠার **Question No-16** নং প্রশ্নের উত্তর দেখুন।

০০ Problem-08 Year Question & Solution ⊙ D.U. BBA (Hon's) 3rd Management 2017 No–15

The cost of an article at the capacity level of 5,000 units is given under 'A' below. For a variation of 20% in capacity above or below this level, the individual expenses vary as indicated under 'B' below :

Account Titles	Taka	Taka
Material cost	25,500	100% varying
Labor cost	15,000	100% varying
Power	1,255	80% varying
Repair and maintenance	2,000	75% varying
Stores	1,100	90% varying
Inspection	500	20% varying
Depreciation	10,000	100% varying
Administration overheads	5,500	25% varying
Selling overheads	4,000	55% varying
Total	64,855	
Cost per unit	12.971	

Prepare a production cost budget at 4,000 units and 6,500 units.

Solution : ৪৪১ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

০০ Problem-09 Year Question & Solution ⊙ N.U. BBA (Hon's) 3rd (Accounting) 2020 No– 06

The monthly budgets for the manufacturing overhead of a concern for two levels of activity are as follows :

Capacity	60%	100%
Budgeted production units	600	1,000
Cost items:	Taka	Taka
Indirect wages	12,000	20,000
Materials	9,000	15,000
Maintenance	11,000	15,000
Power and fuel	16,000	20,000

Required : Segregate variable costs and fixed costs of the items by using high and low points method.

Solution : ৪৪২ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's)Old-2014 No-12, (Mgt) 2017 No-13; (MBA Preli.) (Mgt) 2018 No–13; 3rd (Mgt) 2022 No–11**

Following are the monthly budget for the manufacturing overhead of a concern for the two level of activities :

Capacity	60%	100%
Budgeted production unit	1,200	2,000
Indirect wages	Tk. 1,200	Tk. 2,000
Consumable stores	Tk. 900	Tk. 1,500
Maintenance	Tk. 1,200	Tk. 1,500
Power and fuel	Tk. 1,600	Tk. 2,000
Depreciation	Tk. 6,000	Tk. 6,000
Insurance	Tk. 2,000	Tk. 2,000

Required :

(i) Indicate which of the items are fixed, variable and semi-variable.

(ii) Prepare a flexible budget for 70%, 80% and 90% activity level.

Solution : ৪৪৭ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2023 No–16**

Followings are the monthly budget of Chandana Ltd. for manufacturing product of two level of activity.

Capacity	60%	100%
Budgeted production (units)	60,000	1,00,000
Insurance	1,00,000	1,00,000
Depreciation	30,000	30,000
Indirect wages	60,000	1,00,000
Power and fuel	80,000	1,00,000
Maintenance	55,000	75,000
Consumable store	45,000	75,000

Required :

(i) Indicate which of the items are fixed, variable and semi-variable.

(ii) Prepare a flexible budget for 70%, 80% and 90% activity level.

Solution : ৪৪৫ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

(৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-12** ***Year Question & Solution*** ⊙ **D.U. BBA (Hon's) Accounting-2017 No-14**

A company is at presently working at 80% capacity and producing 8,000 unit per year. The following are the budgeted figures and the company operates on a flexible budgetary control system:

Capacity	80% Taka	90% Taka
Sales	6,00,000	6,60,000
Fixed expense	100,000	1,00,000
Semi fixed expense	25,000	30,000
Variable expense	40,000	42,500
Units	8,000	9,000

Labor and materials cost are constant per unit under present condition. Profit earned is 10% on sales.

(i) You are required to prepare a flexible budget showing the differential cost of producing additional 1,000 units at 90% capacity.

(ii) What price would you recommend against and export for 1,000 units taking into account the overseas once are much lower than domestic prices?

Solution : ৪৪৮ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।

Chapter 08 Standard Costing

(প্রমাণ ব্যয় হিসাব)

Part-A : Brief Questions & Solutions :

01. What is standard? [২০২৪ সালে যা এসেছিল]
[N.U. 2024 (Mgt.)]
***Ans** : The word standard is desired attainable objectives, a performance, a goal and model.*

০০ 02. **What is normal standard?**
Ans : Normal standard is the average standard that is anticipated to be attainable over a future period long enough to cover one trade cycle.

০০০ 03 **What is standard cost?** 99%
Or, Define standard cost.
Or, What do you mean by standard costing? *[Test Exam : B.M, Edward, Uttara town & Eden College; N.U. 2012, 2013, 2015 (Old); 2019, 2021 (Acc.); 2020 (Finance); 2021 (Mgt.)]*
Ans : Standard costing is technique of costing which uses standards for cost and revenue for the purpose of control through variance analysis.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 04. **What is current standard?**
Ans : Current standard is a standard established for use over a short period of time related to current period of using standard.

০০০ 05. **How many types of standard?**
Ans : Standard may be divided into the following five classes:
(i) Basic Standard;
(ii) Ideal Standard;
(iii) Expected Standard;
(iv) Normal Standard;
(v) Current standard;

০০০ 06. **What do you mean by 'Labour Cost Variance'?** 99% *[N.U. 2017 (Finance)]*
Ans. Labour cost variance is the difference between standard direct labour cost and actual direct labour cost incurred for the production achieved.

০০০ 07. **What is favorable variance?**
Ans : Any variance that has favourable effect on profit is called favourable variance.

০০ 08. **What is unfavourable variance?**
Ans : Any variance that has an adverse effect on profit is called unfavourable variance.

০০০ 09. **What is uncontrollable variance?**
Ans : An uncontrollable variance is one which is not amenable to control by particular individual of departmental head. This variance arises due to factory beyond the control of management.

০০ 10. **How many types of variance?**
Ans : The following three classes of variance:
(i) Cost Variance;
(ii) Sales Variance;
(iii) Profit Variance.

০০০ 11. **How many types of total cost variance?**
Ans : Total cost variance is divided into variance for three elements of cost, namely,
(i) Material Cost Variance;
(ii) Labour Cost Variance;
(iii) Overhead Variance.

০০০ 12. **What is material cost variance?**
Ans : Material cost variance is the different between the standard direct material cost of the actual production volume and the actual cost of direct material.

০০০ 13 **What is the material price variance?** 99% *[N.U. 2017 (Mgt.); 2020 (Finance)]*
Ans : It refers to that portion of material cost variance which is due to the different between the standard prices specified and the actual price for direct materials used.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 14. **What is material usage variance?**
Ans : The material usage variance is the difference between actual usage and expected usage. It measures the extent of utilization of materials in production.

০০০ 15. **What is material mix variance?** 99%
Ans : Material mix variance is the difference between total quantity of materials in standard proportion, priced at the standard price and the actual quantity of materials used, also priced at standard price.

০০০ 16. **What is material yield variance?**
Ans : It is the differenced between standard yield of the actual material input and the actual yield, both valued at the standard material cost.

ooo 17. What is labour cost variance? 99%

Ans : Labour cost variance is the difference between standard direct labour cost and actual direct labour cost incurred for the production achieved.

oo 18. What is labor rate variance?

Ans : Labour rate variance is the difference between the standard and the actual direct labor rate per hour for the total hours worked.

ooo 19. What is labor efficiency variance?

Ans : Labour efficiency variance is the difference between the standard hours for the actual production achieved and the hours actually worked, valued at the standard labour rate.

ooo 20. What is labour mix variance?

Ans : It refers to that portion of labour efficiency variance which is due to the difference between the standard grades of workers specified and actual grades of workers utilized.

ooo 21. What is idle time variance? 99% *[N.U. 2018 (Acc.)]*

Ans : It is that portion of labour efficiency variance which is due to abnormal circumstances like strike, lock-outs, power failures, machine breakdown etc.

ooo (22) What is overhead variance? 99%

[N.U. 2012 (Old); 2019, 2022 (Mgt.)]

Ans : Overhead variance is he difference between the standard cost of overhead absorbed in the output achieved and the actual overhead incurred.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 23. What is fixed overhead cost variance?

Ans : It represents the difference between the standard fixed overhead cost charged to production and actual fixed overhead cost incurred.

ooo 24. Why standard costing is important?

Ans : Standard costing is important because, standard costing increases institutional working efficiency, determine depreciation and losses and control cost of the business.

ooo 25. What is the main characterizing of standard costing? 99%

Ans : All elements of cost to be pre-determined. Such as materials, labour and overhead costs are pre-determined.

ooo 26. What is basic (fixed or static) standard?

Ans : This standard remains constant for a long period of time and hence it is also turned as long-term standard. This standard may be suitable for those items of cost which are fixed in nature (such as managerial salaries, interest on capital, etc.)

oo 27. What is historical standard?

Ans : The capacity to be utilized on the basis of past capacity, present situation and future changes is called expected capacity. A standard which is set up on expected capacity is called expected standard.

ooo 28. How can you set a standard?

Ans : I can set a standard on the basis of normal activity level of same nature business. It must be verified by the specialist of related subject.

ooo 29. What is the main advantage of standard costing? 99% *[N.U. 2019 (Finance)]*

Ans : The main advantage of standard costing is to turn out disadvantage of historical costing.

oo 30. What do mean by historical cost?

Ans : Historical cost that type of cost which has been expended and no expectation to recover this cost.

ooo 31. What is expected (attainable or practical) standard?

Ans : Expected standard is a standard which can be attained if a unit of work is carried out efficiently, a machine properly operated, materials properly used. This standard is more realistic, in nature and is best suited from cost contral point of view.

oo 32. What is controllable variances?

Ans : Controllable variance is one which is amenable to control by a particular individual or departmental head who is responsible for the variance. The management should place more emphasis on this variance as corrective actions may be taken to control this variance.

ooo 33. What is high low method? 99% *[N.U. 2017 (Acc.)]*

Ans. High low method such method which to calculate variable overhead rate.

34. What is variance? [২০২৪ সালে যা এসেছিল]

[N.U. 2020 (Acc.); 2024 (Mgt.)]

***Ans.** According to CIMA variance analysis is a process of determining variance and causes of its.*

ooo 35. **What types of organization makes use of standard costing?** 99% *[N.U. 2019 (Mgt.)]*

Ans : The organization those are relating to production use standard costing.

ooo 36. **Give two example of non-cash expenses.** *[N.U. 2016 (Finance)]*

Ans : (i) Depreciation and (ii) Amortization.

ooo 37. **Write down the formula of segregation semi-variable cost by high-low method.** *[N.U. 2016 (Finance)]*

Ans : High low method = $\frac{\text{High value} - \text{Low value}}{\text{High unit} - \text{Low unit}}$

Part- B & C (Short & Broad Questions) :

ooo 01. What is standard? [Ans ব্যবস্থাপনা সাজেশন্স (৪র্থ খণ্ড) বইয়ের 453 Page 8.01 No.]

Or, What do you mean by standard?

ooo - 02. **Discuss the limitations of standard costing.** 99% **[Ans: 453 Page 8.05 No.]**

[Test Exam : Suhrawardy, Comilla, Sachal, Rajandra College; N.U. (Old) -2013, 2015; D.U. (Mgt.) -2016, 2017]

oo 03. What are the potential problems with the use of standard costs? **[Ans: 458 Page 8.21 No.]**

[Test Exam : Edwar, Bagbodna, B.M., Suhrawardy & Shahid Munsur Ali College; N.U-2013; (Finance)-2017]

oo 04. Discuss the method of Standard costing. **[Ans: 453 Page 8.02 No.]**

[N.U. (Old) -2013, 2015; (Mgt.) -2017; (Finance)-2018]

ooo (05) **Discuss the methods for determining standards for standard costing.** 99% **[Ans: 454 Page 8.06 No.]**

[N.U. BBA (Hon's) (Old) -2013; (Mgt.)-2019; D.U.(Acc.) -2016; (Finance)-2018]

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo 06. What are the differences between standard costing and budgetary control? **[Ans: 454 Page 8.07 No.]**

[N.U. (Finance)-2016]

ooo (07) **Discuss the advantages of standard costing.** 99% **[Ans: 453 Page 8.04 No.]**

[Test Exam : Suhrawardy, Comilla, Haraganga, Sirajgonj, Sachal, Rajandra College; N.U. (Old) -2013, 2015; (Mgt.) 2016, 2017, 2020; D.U. (Mgt.) -2016, 2017]

Or, What are the merits of standard costing?

Or, Discuss the advantage of standard cost.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 08. Discuss the steps involved in standard costing. 99% [Ans: 453 Page 8.03 No.] *[N.U. 2017 (Mgt.)]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 05 & 07 No. Questions in are most important for the Examinee of 2025. .....Editor***

Easy Math Basic Problem : Category-B & C

oo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 08**

A budget is prepared for producing 1,000 units of product. The cost of 1,100 units of raw materials was fixed at Tk. 1,320 @ of Tk. 1.20 per unit. The actual cost of 1,120 units of raw materials @ of Tk. 1.25 per unit was Tk. 1,400.

Calculate :

(i) Material usage variance

(ii) Materials price variance.

Solution : ব্যবস্থাপনা সাজেশন্স (৪র্থ খণ্ড) বইয়ের ৪৬৫ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

XX **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–8**

The standard estimate for manufacturing 1,000 units of a commodity is 400 kg's @ Tk. 5. But when 2,000 units of the commodity are manufactured, it is found that 820 kg of materials are consumed at Tk. 7 per kg.

Calculate :

(i) Material price variance

(ii) Material use variance.

Solution : ৫৪২ পৃষ্ঠার **Question No-8** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Mgt. 2017 No-09; (Finance) 2020 No-06**

The following are the particulars regarding the standard and the actual production of the product X.

Standard quantity of material per unit	5 kg
Standard price	Tk. 5 per kg.
Actual number of units produced	400
Actual quantity of materials used	2,200 kg
Price of material	Tk. 4.80 per kg.

Calculate all variances.

Solution : ৪৬৫ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2022 No–14**

XYZ Manufacturing company has adopted standard costing furnishes the following information :

Standard data :

100 kg materials for finished product of 70 kg.

The price of materials being Tk. 10.per kg.

Actual data :	
Output	1,05,000 kg
Material used	1,40,000 kg
Cost of material	Tk. 12,60,000

Calculate :

(i) Material cost variance.

(ii) Material price variance.

(iii) Material usage variance.

Solution : ৪৬৬ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊠⊠ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2024 No–17**

Shumon Manufacturing Company has adopted standard costing furnishes the following information :

Standard data :

100 kg materials for finished product of 70 kg. The price of materials being Tk. 10 per kg.

Actual data :

Output	4,20,000 kg
Materials used	5,60,000 kg
Cost of materials	Tk. 50,40,000

Calculate :

(i) Materials cost variance

(ii) Materials price variance

(iii) Materials usage variance.

Solution : ৫৪৮ পৃষ্ঠার **Question No-17** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2010; 3rd Management -2016 No-17; (MBA Preli.) (Accounting) 2018 No–8**

Sujan Manufacturing Company/A manufacturing company which has adopted standard costing furnishes the following information :

Standard data: 100 kgs materials for finished product of 70 kgs. The price of materials being Tk. 10 per kg.

Actual data : Output 2,10,000 kgs; Materials used 2,80,000 kgs. Cost of materials Tk. 25,20,000.

Calculate:

(i) Materials cost variance;

(ii) Materiais price variance;

(iii) Materials usage variance;

Solution : ৪৬৭ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Mgt.) 2014 No- 5(b); (Acc.) 2014 No- 8(c); 2017 No- 6(c); 3rd (Old) 2012 No- 17; (Mgt.) 2017 No- 15; 2021 No–17**

The standard mix for producing 8,000 bottles of a product F is :

Material A : 1,000 litters @ Tk. 0.10

Material B : 2,000 litters @ Tk. 0.40

During June, 10,000 bottles of the product F were produced from an input of :

Material A : 1,500 litters @ Tk. 0.11

Material B : 3,300 litters @ Tk. 0.37

Required :

Compute the material price variance, material mix variance, material usage variance and material yield variance.

Solution : ৪৬৮ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Old 2014 No-17**

The standard mix for producing 8,000 bottles of product X is :

Material A : 1,000 kgs @ Tk. 10.

Material B : 2,000 kgs @ Tk. 40.

During March, 10,000 units of product X were produced from an input of:

Material A : 1,500 kgs @ Tk. 11.

Material B : 3,300 kgs @ Tk. 37.

Required : Calculate material variances.

Solution : ৪৭২ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–17**

The standard mix for producing 8,000 bottles of product kinly is :

Material X : 1,000 kg @ Tk. 3

Material Y : 2,000 kg @ Tk. 3.5.

During April, 10,000 bottles of product X were produced from an input of :

Material X : 1,500 kg @ Tk. 3

Material Y : 3,300 kg @ Tk. 3,80

Required :

(i) Material cost variance.

(ii) Material price variance.

(iii) Material usages variance.

(iv) Material mix variance.

(v) Material yield variance.

Solution : ৪৭৪ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Management) 2020 No– 15**

The following information is obtained :

Standard for each unit :

Material A — 5 kgs @ Tk. 2
Material B — 3 kgs @ Tk. 4
Material C — 2 kgs @ Tk. 6

Actual for each unit :

Material A — 4 kgs @ Tk. 2.50
Material B — 4 kgs @ Tk. 3.75
Material C — 1 kg @ Tk. 8.00

250 units were produced in a month.

Required : Compute the material cost, price, usage, mix and yield varianee.

Solution : ৪৭৫ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc) 2021 No–17**

The standard cost per unit :

Material A :	5kg @Tk. 10	Tk. 50
Material B :	7kg @Tk. 15	Tk. 105
	Total	Tk. 155
Actual cost for 100 units :		
Materials A :	600kg @ Tk. 9	Tk. 5,400
Materials B :	650kg @ Tk. 16	Tk.10,400
	Total	Tk. 15,800

Required :

(a) Material price variance
(b) Material usage variance
(c) Material mix variance
(d) Material yield variance
(e) Material cost variance.

Solution : ৪৭৮ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting-2017 No-16 ; (Mgt) 2023 No–17**

Standard material for 200 units are given below :

Material X	90 kg @ Tk. 4 per kg
Material Y	80 kg @ Tk. 8 per kg
Material Z	50 kg @ Tk. 12 per kg
	220 kg
Standard loss	20 kg
	200 kg

Actual production 4,000 units and actual material usage is as follows :

Material X	2,000 kg @ Tk. 3.80 per kg
Material Y	1,700 kg @ Tk. 8.40 per kg
Material Z	900 kg @ Tk. 13.00 per kg

You are required to calculate :

(a) Material yield variance
(b) Material mix variance
(c) Material usage variance
(d) Material price variance
(e) Material cost variance

Solution : ৪৮০ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

(৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting-2017 No-05**

From the following direct labour specification of Piyal Limited you are required to calculate labour variances
Standard direct labour hours 20
Standard direct labour rate Tk. 2.50.
During a period 250 units were produced and direct labour amounted to Tk. 15,000 for 5,600 hours.

Solution : ৪৮৫ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Management) 2019 No–17**

You have been provided with the following information about labour costs of a certain manufacturing concern.
Standard cost for 10,000 units :
Skilled 20,000 hours @ Tk. 40 per hours
Semi skilled 10,000 hours @Tk. 30 per hours
Actual labour cost of production 9,000 units :
Skilled 16,000 hours @ Tk. 45 per hours
Semi skilled 11,000 hours @ Tk. 29 per hours
You are asked to calculate :
(i) Labour cost variance;
(ii) Labour mix variance;
(iii) Labour rate variance.

Solution : ৪৮৭ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–17(b)**

In a six-day week, the normal working hours are 48. From the following information given below, calculate fixed overhead variances :

Standard production per hour	2 units
Actual production	120 units
Budgeted fixed overhead	Tk. 360
Actual fixed overhead	Tk. 320

There were five working days in the week and ten hours were spent for overtime work.

Solution : ৪৯০ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

গ্রন্থ সহায়ক : উপরিউক্ত সাজেশন্সের পূর্ণাঙ্গ উত্তরপত্র পেতে.....
ব্যতিক্রম ব্যবস্থাপনা **ইজিপ্লেস** (৪র্থ খণ্ড) বইটি সংগ্রহ করুন।

জাতীয় বিশ্ববিদ্যালয়ের প্রশ্নাবলি ও উত্তরপত্র

Management Accounting (In English); Subject Code : 232613

National University

[BBA Hons 3rd Year;
Final Exam-2019 (Held on-22/02/2020)]
(Department of Management)
Course Code : 232613
Subject Name : Management Accounting (In English)
Time : 4 hours; **Full marks :** 80
[Different parts of each question answered chronologically]

Part-A

1. Answer any **Ten** questions. Marks: $10 \times 1 = 10$

(a) Define management accounting.

Ans : Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.

(b) What is relevant cost?

Ans : Relevant cost are those expected future cost that differ among alternative course of action.

(c) What is shut down cost?

Ans : The goal of a firm is to maximize profit or minimize losses. The firm can achieve this goal by operate where MR = MC. The shut-down price is the price at which the company will begin to lose money for making the product.

(d) What is capital rationing?

Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

(e) What is overhead variance?

Ans : Overhead variance is "The difference between the standard cost of overhead absorbed in the output achieved and the actual overhead incurred."

(f) Elaborate ICMAB.

Ans : The elaboration of ICMAB is Institute of Cost and Management Accountants of Bangladesh.

(g) What is master budget?

Ans : The master budget is a set of interrelated budget, that constitute a plan of action for a specified time period.

(h) Write the formula of CM ratio.

Ans : Contribution margin ratio $= \frac{\text{Contribution}}{\text{Sales}}$

(i) What types of organization makes use of standard costing?

Ans : The organization those are relating to production use standard costing.

(j) What is ABC costing?

Ans : Activity based-costing refers a costing system by identifying individual activities as the fundamental cost objects.

(k) What are the elements of cost?

Ans : The elements of cost are: a. Material. b. Labour. c. Overhead.

(l) What is markup?

Ans : Markup is the difference between selling price and cost. It's usually expressed as a percentage of sales price.

Part-B

[Answer any **Five** questions.] Marks: $5 \times 4 = 20$

2. Show the difference between variable costing and absorption costing.

[Ans : ব্যবস্থাপনা হিসাবায়ন (৪র্থ খণ্ড) বইয়ের **Page No. 221; Ques. No. 3.14]**

3. "All future costs are relevant in decision making." — Do you agree? Why?

[Ans : Page No. 325; Ques. No. 5.16]

4. The following figures for profit and sales are obtained from the account of ABC Ltd. :

Year	Sales (Taka)	Profit (Taka)
2017	30,000	3,000
2018	40,000	5,000

Calculate :
(i) P/V ratio.
(ii) BEP(in taka).
(iii) Profit when sales Tk. 50,000.
(iv) Sales to earn a profit of Tk. 10,000.

Solution : ***Page No-292; Problem No-27***

5. Sun Moon Ltd. provides the following data for December, 2018 :
Sales Tk. 72,000; Marketing expenses Tk. 36,000; Administrative expense Tk. 72,000; Other expense Tk. 360; Purchase of raw materials Tk. 35,000; Factory expense Tk. 10,000; Direct labour Tk. 15,000.

Inventories	Beginning	Ending
	Taka	Taka
Finish goods	7,000	10,200
WIP	8,000	15,000
Materials	10,000	9,500

Required : Calculate cost of goods manufactured.

Solution : ***Page No-184; Problem No-13***

6. Beach View Ltd. is a manufacturing concern which requires 3,000 units of part-A to complete its finished products. Beach View Ltd. produces part-A in its own factory. Relevant cost data are as follows :

Details	Per unit	3,000 Units
	Taka	Taka
Raw materials	30	90,000
Direct labour	70	2,10,000
Variable overhead	50	1,50,000
Fixed overhead	50	1,50,000
Total cost	200	6,00,000

A supplier offers to sell part-A to Beach View Ltd. at a cost of Tk. 180 per unit. If the offer is accepted, fixed overhead @ Tk. 30 per unit can be saved.

Required : Should the offer be accepted?

Solution : ***Page No-330; Problem No-07***

7. Discuss the objectives of preparing cost sheet.
[Ans : Page No. 165; Ques. No. 2.07]

8. Discuss the methods for determining standards for standard costing. ***[Ans : Page No. 454; Ques. No. 8.06]***

9. How an investment proposal is evaluated account to different discounted cash flow techniques?
[Ans : Page No. 324; Ques. No. 5.14]

Part-C

[Answer any **Five** questions.] Marks: 5 × 10 = 50

10. (a) How does management accounting assist the management of a business concern?
[Ans : Page No. 154; Ques. No. 1.14]

(b) Discuss the importance of ethics in management accounting. ***[Ans : Page No. 152; Ques. No. 1.07]***

11. The following figures have been obtained from the records of a company for the year ended 31-12-2017:

Particulars	Taka
Direct materials	1,70,000
Direct wages	1,00,000
Works overhead	60,000
Administrative overhead	67,200
Selling overhead	44,800
Distribution overhead	28,000
Profit	1,05,000

A work order has been executed in 2018 and the following expenses have been incurred :

	Taka
Direct materials	2,000
Direct wages	1,000

Assuming that in 2018 the rate of factory overhead has gone up by 20%, distribution overhead has gone down by 10% and selling and administrative overhead has gone up by 12.5%. At what price should the product be sold so as to earn the same rate of profit on selling price?

Solution : ***Page No-213; Problem No-41***

12. (a) "Only variable cost can be differential cost." —Do you agree? Explain.
[Ans : Page No. 218; Ques. No. 3.05]

(b) Chowdhury Ltd. produced 24,000 Units of products during first quarter of 2018. 20,000 units were sold @ Tk. 200 per unit. Cost of the product was : .

	Taka
Materials	6,00,000
Direct labour	5,00,000

Factory overhead :

Fixed cost	1,20,000
Variable cost	1,44,000

Marketing and administrative expenses for the quarter amounted to Tk. 60,000, others are fixed expenses.

Required :

(i) An income statement using full costing.

(ii) An income statement using direct costing.

Solution : ***Page No-243; Problem No-24***

13. (a) Define budget and budgetary control.
[Ans : Page No. 342+344; Ques. No. 6.01+6.09]

(b) Discuss the advantages and limitations of budgetary control.
[Ans : Page No. 345; Ques. No. 6.11+6.12]

14. (a) Define variable and fixed cost.
[Ans : Page No. 166; Ques. No. 2.14]

(b) Glorious Ltd. manufactures and sells a single product. The company's sales and expenses for last quarter is as follows :

	Total Taka	Per unit Taka
Sales	9,00,000	60
Less : Variable cost	3,60,000	24
Contribution margin	5,40,000	36
Less : Fixed cost	4,32,000	
	1,08,000	

Required :

(i) What is company's CM ratio?

(ii) What is quarterly break-even-point in units sold and in sales taka?

(iii) Company's margin of safety in taka and in percentage term.

(iv) How many units would be sold each quarter to earn a pre-tax profit of Tk. 1,80,000?

(v) If company can sell only 15,000 units but wanted to earn a pre-tax profit of Tk. 1,80,000, then what would be the selling price per unit?

(vi) If sales increase by Tk. 1,00,000 per quarter and there is no change in fixed expense, by how much would you expect net operating income to increase?

Solution : ***Page No-309; Problem No-46***

15. MARSA Ltd. is engaged in production of certain product at an estimated cost per unit as under :

	Taka
Raw materials	15
Direct wages	10
Direct expenses	3
Variable overhead	5
	33

The company has production capacity of 20,000 units at 100% level. The semi-variable overhead is estimated at Tk. 60,000 at 100% level and it varies in steps of Tk. 2,500 for each change of output of 2,000 units. Fixed overhead is estimated at Tk. 70,000 and the products are sold in the market at Tk. 50 per unit.
Prepare a flexible budget at 50%, 70% and 90% level.

Solution : ***Page No-431; Problem No-07***

16. From the following data calculate :
(i) Pay back period.
(ii) NPV.
(iii) IRR for the following projects.
Assume a required rate of return 14% and 40% tax rate. The company has a policy of charging depreciation on straight line method.

	Project-X	Project-Y
Initial outlay	Tk. 1,00,000	Tk. 1,40,000
Salvage value	Nil	Tk. 20,000
Expected life	5 years	5 years

Earnings before depreciation and taxes

Year	Taka	Taka
1	25,000	45,000
2	30,000	35,000
3	20,000	30,000
4	20,000	30,000
5	15,000	25,000

Which of the projects would you select and why?

Solution : ***Page No-418; Problem No-65***

17. The standard mix for producing 8,000 bottles of product X is :
Materials-A : 1,000 liters @ Tk. 0.10
Materials-B : 2,000 liters @ Tk. 0.40
During May, 10,000 bottles of product X were produced from an input of :
Materials-A : 1,500 liters @ Tk. 0.10
Materials-B : 3,300 liters @ Tk. 0.40
Required :
Compute the material price, usage, mix and yield variance for the month of May.

Solution : ***Page No-470; Problem No-09***

National University

[BBA Hon's 3rd year;
Exam-2020 (Held on-28/03/2022)]
(Department of Management)
Subject Name : Management Accounting (In English)
Subject Code : 232613
Time : 4 hours; **Full marks :** 80
[N.B. Answer the questions from each group chronologically.]

Group-A

1. Answer any **ten** questions. $1 \times 10 = 10$

(a) Elaborate ICMAB.
Ans : The elaboration of ICMAB is Institute of Cost and Management Accountants of Bangladesh.

(b) What is variable cost?
Ans : A cost that varies in total, indirect proportion to change in the level of activity is called variable cost.

(c) What are the elements of prime cost?
Ans : The elements of cost are :
(a) Material. (b) Labour. (c) Overhead.

(d) What is opportunity cost?
Ans : The potential benefit that is lost or sacrificed when the selection of one course of action makes it necessary to give up a competing course of action is called opportunity cost.

(e) What is break-even point?
Ans : The level of activity at which an organization neither earns a profit nor incurs a loss. The break even point can also be defined as the point where total revenue equals total cost and as the point where total contribution margin equals total fixed costs.

(f) What is budgetary control?
Ans : The exercise of control in the organization with the help of budgets is known as budgetary control.

(g) What is relevant cost?
Ans : Relevant cost are those expected future cost that differ among alternative course of action.

(h) What is working capital?
Ans : Working capital meanse net working capital which is currents assets minus current liabilities.

(i) Elaborate GAAP.
Ans : The full meaning of GAAP is– Generally Accepted Accounting Principles.

(j) What is cash budget?
Ans : Cash budget is plan indicating expected inflows (receipts) and outflows (disbursements) of cash.

(k) What is semi-variable cost?
Ans : Semi-variable cost is the mixture of variable cost and fixed cost.

(l) What is sales mix?
Ans : The relative combination in which a company's product are sold. Sales mix is computed by expressing the sales of each product as a percentage of total sales.

হিসাব (অনার্স) ২য় বর্ষ-২০১৯ (নতুন)

Group-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. Explain the different elements of cost.
[Ans : ব্যবস্থাপনা হ্যান্ডবুক (৪র্থ খণ্ড) বইয়ের Page No. 169; Ques. No. 2.22]

3. The S.M. Ltd. a manufacturing company prepare a monthly cost sheet. The following data, finalize cost sheet for the month of May, 2019 has been accumulated by cost accountant.

(i) Inventories :
Raw materials : On 01-05-2019 Tk. 50,000 representing 5% total materials purchased at FOB. Freight was Tk. 1,00,000. On 31-05-2019 Tk. 1,50,000.
Work-in-process : on 01-05-2019 Tk. 4,50,000; on 31-05-2019 Tk. 6,00,000. Finished goods : on 01-05-2019 Tk. 25,000 unit at Tk. 40; on 31-05-2019 Tk. 18,750 units
The company keeps perpetual inventory cards and follows average method of inventory valuation.

(ii) Direct labour cost represents 80% of direct material cost.

(iii) Factory overhead application rate is 75% of prime cost.

Required : Statement of cost of goods sold showing cost of goods manufactured.

Solution : ***Page No-185; Problem No-15***

4. "Fixed cost per unit is variable but variable cost per unit remains fixed."— Explain.
[Ans : Page No. 170; Ques. No. 2.36]

5. The profit and sales of R & R Ltd. for the year 2020 and 2021 are given below :

Year	Sales (Tk.)	Profit (Tk.)
2020	2,00,000	16,000
2021	2,20,000	20,000

Calculate :
(i) Profit volume ratio
(ii) Break-even point (in Taka)
(iii) Profit when sales Taka 2,50,000
(vi) Margin of safety for the year 2021.

Solution : ***Page No-293; Problem No-29***

6. GPS Company interested to invest Tk. 50,000 in a project. It is expected that project would have a life of 5 years. The cash flows from the project in the different years would be as follows.

Year	CFAT
1	18,000
2	20,000
3	25,000
4	27,000
5	28,000

The cost of capital is 10%. Evaluate the project on the basis of present value payback period.

Solution : ***Page No-389; Problem No-36***

7. A company has sales of Tk. 60,000, marginal cost of sales Tk. 48,000 and break-even point Tk. 40,000. Find out the amount of profit earned of the company.

Solution : ***Page No-279; Problem No-04***

8. MM Company produce a product and following data is available for the month of June-2021.

Produce units	25,000
Variable cost per unit :	
Direct materials	10.00
Direct labour	8.00
Variable factory overhead	5.00
Variable selling and distribution expense	2.00
Variable office and administrative expense	2.00

Fixed cost:
Factory overhead Tk. 50,000
Fixed selling and distribution expense 20,000
Fixed office and administrative expense 30,000.

Required :
(a) Compute the unit product cost under variable costing.
(b) Compute the unit product cost under absorption costing.

Solution : ***Page No-226; Problem No-06***

9. Discuss the advantages of standard costing.
[Ans : Page No. 453; Ques. No. 8.04]

Group-C

[Answer any **five** questions.] $5 \times 10 = 50$

10. (a) Show the difference between financial accounting and management accounting.
[Ans : Page No. 154; Ques. No. 1.13]

(b) Discuss the product life cycle management and the different stages of the product life cycle.
[Ans : Page No. 160; Ques. No. 1.30]

11. The books of Walton Manufacturing Company engaged in assembling refrigerators, show the following information for the six months ended June 30, 2021.

Raw materials purchase	20,82,500
Inventory June 1, 2021	
Raw materials	2,50,000
Finished goods (50 refrigerators)	41,200
Direct labour	20,50,000
Factory overhead	8,16,300
Selling expense	4,28,000
General and administrative expense	4,96,000
Sales (6,000 refrigerators)	63,60,000
Inventory June 30, 2021	
Raw materials	1,50,000
Finished goods 250 refrigerators	
No unfinished work on hand.	

You are required to calculate :

(a) A statement cost of goods manufactured.
(b) The number of units manufactured.
(c) The unit of refrigerators manufactured.
(d) The profit per unit sold.

Solution : ***Page No-203; Problem No-34***

12. The Martin Company sells its razors at Tk. 3 per unit. The company uses FIFO actual costing system. A new fixed manufacturing overhead allocation rate is computed each year by dividing the actual fixed manufacturing overhead cost by the actual production units. The following data are related to it's first two years operation :

	Year-1	Year-2
	Units	Units
Sales	1,000	1,200
Production	1,400	1,000
Cost :	Taka	Taka
Variable manufacturing cost	700	500
Fixed manufacturing cost	700	700
Variable marketing and administrative	1,000	1,200
Fixed marketing and administrative	400	400

Required :

(i) Prepare income statement for each of the year under variable costing and under absorption costing.
(ii) Prepare a reconciliation statement explaining the difference in the operating income under both method.

Solution : ***Page No-264; Problem No-38***

13. An analysis past and future costs of a manufacturing concern is given below :

Cost elements	Variable cost as percentage of sales (Tk.)	Fixed cost (Tk.)
Direct materials	31.50	-
Direct labour	28.50	-
Factory overhead	12.50	12,50,000
Marketing expenses	4.00	1,00,000
General & administrative expenses	3.50	3,50,000

Budgeted sales revenue for the year 2021 is Tk. 2,00,00,000.

Required :

(i) The break even sales at taka
(ii) The P/V ratio
(iii) The profit at the budgeted sales volume
(iv) The profit if the sales dropped by 3.75%.

Solution : ***Page No-305; Problem No-43***

14. (a) How does cost volume profit analysis help in management decision marking?

[Ans : Page No. 274; Ques. No. 4.17]

(b) What are the differences between fixed budget and flexible budget?

[Ans : Page No. 422; Ques. No. 7.08]

15. The following information is obtained :

Standard for each unit :

Material	A — 5 kgs @ Tk. 2
Material	B — 3 kgs @ Tk. 4
Material	C — 2 kgs @ Tk. 6

Actual for each unit :

Material	A — 4 kgs @ Tk. 2.50
Material	B — 4 kgs @ Tk. 3.75
Material	C — 1 kg @ Tk. 8.00

250 units were produced in a month.

Required :

Compute the material cost, price, usage, mix and yield variance.

Solution : ***Page No-475; Problem No-14***

16. From the following information supplied by XYZ Ltd. prepare a cash budget for the period from 1st October 2020 to 31st December, 2020 :

Months	Credit purchases (Tk.)	Credit sales (Tk.)	Wages and other expenses (Tk.)
August	92,000	1,85,000	58,000
September	1,00,000	2,10,000	65,000
October	1,20,000	2,45,000	75,000
November	90,000	1,75,000	54,000
December	98,000	1,82,000	56,000

Additional information :

(i) Expected cash balance on 1st October Tk. 10,500.
(ii) Period of credit allowed to debtors 2 (two) months.
(iii) Period of credit allowed by creditors 1 (one) month.
(iv) Lag in payment of wages and other expenses 1 (one) month.
(v) Selling commission @ 2% on sales is payable one month after sales.
(vi) Expenditure on machinery worth Tk. 50,000 is payable in October.

Solution : ***Page No-376; Problem No-24***

17. The details of investment proposal of ASM Company are given below :

Initial cash outlay (Tk.)	1,00,000
Expected life	5 years
Salvage value (Tk.)	10,000
Working capital (Tk.)	20,000

Cash inflows before tax :

Year	Taka
1	25,000
2	30,000
3	35,000
4	40,000
5	50,000

The company's cost of capital is 10% and corporate tax rate is 40%. The project will be depreciated on the basis of straight line. Evaluate the project on the basis of

(i) Payback period (PBP)
(ii) Net present value (NPV)
(iii) Profitability index (PI)
(iv) Internal rate of return (IRR).

Solution : ***Page No-412; Problem No-60***

National University

[BBA Hon's 3rd year;
Exam-2021 (Held on-01/06/2023)]
(Department of Management)
Subject Name : Management Accounting (In English)
Subject Code : 232613
Time : 4 hours; **Full Marks :** 80

[N. B. Answer different parts of questions of each group consecutively.]

Group-A

1. Answer any ten questions. Mark— $1 \times 10 = 10$

(a) What is management accounting?
Ans : Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.

(b) Elaborate : TQM, CAT.
Ans : TQM = Total Quality Management. and **CAT** = Certified Accounting Technician.

(c) Write a formula of BEP in taka.
Ans : BEP (Tk.) $= \frac{\text{Total fixed cost}}{\text{P/V Ratio}}$.

(d) What do you mean by decision making?
Ans : Decision making is choosing the best among the alternatives.

(e) Define differential cost.
Ans : A difference cost between two alternatives is called differential cost.

(f) Define standard cost.
Ans : Standard costing is technique of costing which uses standards for cost and revenue for the purpose of control through variance analysis.

(g) What is sunk cost?
Ans : Sunk cost is the cost that has already been incurred and that cannot be changed by any decision made now or in the future.

(h) What is product cost?
Ans : All costs that are involved in the purchase or manufacture of goods are called product costs.

(i) What is meant by contribution margin?
Ans : The amount remaining from sales revenues after all variable costs have been deducted is called contribution margin (CM).

(j) What is budget cycle?
Ans : All the activities of budgetary control system are to be done in circulating nature. This circulating nature of budgeting is called budget cycle.

(k) What is master budget?
Ans : The master budget is a set of interrelated budget, that constitute a plan of action for a specified time period.

(l) What is meant by IRR?
Ans : IRR is the discount rate at which the present value of expected cash inflows from a project equals the present value of expected cash outflows of the project.

Group-B

[Answer any **five** questions.] Mark— $4 \times 5 = 20$

2. Differentiate between management accounting and cost accounting.
[Ans : ব্যবস্থাপনা হিসাবায়ন (৪র্থ খণ্ড) বইয়ের **Page No. 155; Ques. No. 1.15]**

3. What are the limitations of cost-volume- profit analysis? ***[Ans : Page No. 271; Ques. No. 4.05]***

4. From the following information of Evan Fabrics, prepare a cost sheet :
Direct material Tk. 1,00,000
Direct labor 80% of material.
Factory cost 50% of labor
Office and administrative cost 75% of factory cost.
Marketing and selling cost 50% of office and administrative cost.
Profit 25% of sale.
Solution : ***Page No-179; Problem No-06***

5. Jamuna corporation produced 24,000 units (normal capacity) of product during the year 2022.
The company sold 20;000 units @ Tk. 22 per unit.
Cost of production was as follows :

Direct material	Tk. 60,000
Direct labor	Tk. 60,000
Factory overhead :	
Variable	Tk. 1,20,000
Fixed	Tk. 96,000

Marketing and administrative expenses for the year Tk. 70,000 all are fixed.
Prepare an income statement under direct costing.
Solution : ***Page No-253; Problem No-31***

6. Using the following information prepare a statement of Quoted/Tender price :
Percentage of factory overhead on labor = 25%
Percentage of office overhead on factory cost = 20%
Percentage of profit on sales = 25%
Direct material Tk. 5,000 and direct labor Tk. 7,000.
Solution : ***Page No-177; Problem No-02***

7. ABC Ltd. is a manufacturing concern which requires 2,000 units of Part-B to complete its finished products. ABC produces Part-B in its own factory. Relevant cost data are as follows :

Details	Per unit	Cost for 2,000 units
	Taka	Taka
Raw materials	20	40,000
Direct labor	80	1,60,000
Variable overhead	50	1,00,000
Fixed overhead	50	1,00,000

A supplier offers to sell Part-B to ABC Ltd. at a cost of Tk. 160 per unit. If the offer is accepted, fixed cost Tk. 35 per unit can be saved.
Should the offer be accepted?

Solution : ***Page No-331; Problem No-10***

8. A project initial cost is Tk. 80,000. Its expected life is 5 years and discount rate is 10%. Cash inflows are given below :

Year	Amount (Tk.)
1.	24,000
2	30,000
3	26,000
4	20,000
5	28,000

Determine the discounted payback period.

Solution : ***Page No-390; Problem No-37***

9. Figures of profit and sales taken from XYZ Co :

Year	Sales in taka	Profit in taka
2015	20,000	1,000
2016	30,000	3,000

Required :
(a) P/V Ratio
(b) BEP
(c) Profit when sales Tk. 40,000
(d) Sales to obtain profit Tk. 5,000.

Solution : ***Page No-293; Problem No-28***

Group-C

[Answer any **five** questions.] Marks — 10 × 5 = 50

10. (a) Discuss the role of management accounting.
[Ans : Page No. 153; Ques. No. 1.11]
(b) Describe in brief the difference between variable costing and absorption costing.
[Ans : Page No. 221; Ques. No. 3.14]

11. Sky Company is comparing its present absorption costing practice with direct costing methods. An examination of its record produced the following information :

Budgeted production	40,000 units
Budgeted fixed factory overhead	Tk. 80,000
Fixed marketing and administrative expenses	Tk. 20,000
Sales price per unit	Tk. 12
Standard variable manufacturing cost per unit	Tk. 5
Variable marketing expenses per unit	Tk. 1
For the year the following data are available :	
Actual production	32,000 units
Actual sales	29,000 units
Opening finished goods	1,000 units
Unfavourable variance from standard variable cost	Tk. 5,000

Required
(a) Income statement under direct costing and
(b) Income statement under absorption costing.

Solution : ***Page No-244; Problem No-25***

12. The following data is extracted from the books of XYZ Company :

Annual sales	Tk. 2,20,000
Margin of safety ratio	35%
P/V ratio	45%

You are to calculate :
(a) BEP sales in Tk.
(b) Margin of safety in Tk.
(c) Annual profit
(d) Sales required to earn profit Tk. 40,000
(e) Profit on sale Tk. 1,20,000.

Solution : ***Page No-286; Problem No-20***

13. (a) What do you mean by budget and budgetary control? ***[Ans : Page No. 342; Ques. No. 6.01+6.09]***
(b) Describe the essentials of a good budgetary control system. ***[Ans : Page No. 349; Ques. No. 6.25]***

14. The expenses budget for production of 10,000 units in a factory are given below :

Details	Unit cost (Tk.)
Raw materials	80
Direct labor	30
Variable overheads	20
Fixed overheads (Tk. 1,00,000)	10
Variable expenses (Direct)	5
Selling expenses (10% fixed)	14
Distribution expenses (80% variable)	8
Administrative expenses (Tk. 50,000)	5
Total cost per unit	172

Prepare a flexible budget for the production of 6,000 units, 8,000 units and 12,000 units.

Solution : ***Page No-427; Problem No-03***

15. A company has a capacity of producing 1,00,000 units of a product in a month. The sales department reports that the following schedule of sale price is possible :

Volume of production	Selling price per unit (Tk.)
60%	0.90
70%	0.80
80%	0.75
90%	0.67
100%	0.61

The variable cost of manufacture at each level is Tk. 0.15 per unit and fixed cost Tk. 40,000.

Required :

(i) Prepare a statement showing incremental revenue and differential cost at each stage.

(ii) At which volume of production will the profit be maximum? and

(iii) A foreign buyer offers to purchase the balance capacity over the maximum profit volume at a price of Tk. 0.50 per unit. Will you advise to accept the offer?

Solution : ***Page No-340; Problem No-20***

16. Calculate the relevant variances from the following information :

Budgeted details :

Material	: 10 kgs per unit @ Tk. 2 per kg.
Labor	: 15,000 hours @ Tk. 3 per hour
Fixed overhead	: Tk. 12,000
Output (in units)	: 2,000

Actual details :

Material	: 9 kg per unit @ Tk. 2.40 per kg.
Labour hour	: 14,000 hours @ Tk. 2.95 per
Fixed overhead	: Tk. 11,130 and output 1,800 units

17. The standard mix for producing 8,000 bottles of a product F is :

Material A	: 1,000 litters @ Tk. 0.10
Material B	: 2,000 litters @ Tk. 0.40

During June, 10,000 bottles of the product F were produced from an input of :

Material A	: 1,500 litters @ Tk. 0.11
Material B	: 3,300 litters @ Tk. 0.37

Required :

Compute the material price variance, material mix variance, material usage variance and material yield variance.

Solution : ***Page No-468; Problem No-07***

National University

[BBA (Hon's) 3rd Year;
Exam-2022 (Held in- 14/05/2024)]
(Department of Management)

Subject Name : Management Accounting (In English)
Subject Code : 232613

Time : 4 hours; **Full marks : 80**

[N.B. Answer different parts of each question consecutively.]

Group-A

1. Answer any **ten** questions. Marks-1 × 10 = 10

(a) What is prime cost?
Ans : Prime cost is the combined form of direct materials, direct labour and direct expenses.

(b) What is cash budget?
Ans : Cash budget is plan indicating expected inflows (receipts) and outflows (disbursements) of cash.

(c) What is working capital?
Ans : Working capital means net working capital which is currents assets minus current liabilities.

(d) What do you mean by margin of safety?
Ans : The excess of budgeted (or actual) sales over the break-even volume is margin of safety.

(e) What is payback period?
Ans : The payback period is the length of time that it takes for a project to recover its initial cost from the net cash inflows that it generates.

(f) What is overhead variance?
Ans : Overhead variance is "The difference between the standard cost of overhead absorbed in the output achieved and the actual overhead incurred."

(g) What is cost behavior?
Ans : The way which a cost will react or respond to changes in the level of business activity is called cost behavior.

(h) What is capital rationing?
Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

(i) What is opportunity cost?
Ans : The potential benefit that is lost or sacrificed when the selection of one course of action makes it necessary to give up a competing course of action is called opportunity cost.

(j) What is absorption costing?
Ans : A costing method that includes all manufacturing cost direct materials, direct labour and both variable and fixed manufacturing overhead in the cost of a unit of product. Absorption costing is also referred to as the full cost method.

(k) What is cost accounting?
Ans : Cost accounting is the branch of accounting dealing with the classification, recording, allocation, summarization and reporting of current and prospective cost.

(l) Elaborate : JIT.
Ans : Just in Time.

Group–B

[Answer any five questions.] Marks 4 × 5 = 20

2. Show the differences between fixed budget and flexible budget.

[Ans : ব্যবস্থাপনা হীরেন্দ্র (৪র্থ খণ্ড) বইয়ের **Page No. 422; Ques. No. 7.08]**

3. What factors will you consider at the time of "Make or Buy" decision?

[Ans : Page No. 160; Ques. No. 1.29]

4. How does cost volume profit analysis help management decision making?

[Ans : Page No. 274; Ques. No. 4.17]

5. The following information is available in respect of a project :

Investment	Tk. 10,00,000
Salvage value	Tk. 60,000
Life of the project	20 Years
Annual profit before tax	Tk. 1,80,000

Required : (i) PBP (ii) ARR.

Solution : ***Page No-392; Problem No-41***

Note : ২০২২ সালের প্রশ্নে Annual profit before tax দেওয়া আছে, কিন্তু প্রশ্নে Tax rate উলেখ নেই। তাই প্রশ্নটি সমাধানে আবশ্যই Tax rate ধরে সমাধান করতে হবে।

6. Aman Ltd. prokides the following data for December 2020 :

Sales Tk. 72,000, Marketing expenses Tk. 3,600, Administrative expense Tk. 72,000, Other expense Tk. 360, Purchase of raw materials Tk. 35,000, Factory expense Tk. 10,000, Direct labour Tk. 15,000.

Inventories	Beginning Tk.	Ending Tk.
Finish goods	7,000	10,200
WIP	8,000	15,000
Materials	10,000	9,500

Required : Calculate cost of goods manufactured.

Solution : ***Page No-185; Problem No-14***

7. The initial cost of a project is Tk. 50,000 and cash inflows for the next 5 years are as follows :

Year	Earnings after depreciation and tax
1	10,000
2	9,000
3	8,000
4	7,000
5	6,000

Calculate the NPV if discount rate is 10%. Assume straight line method of depreciation.

Solution : ***Page No-387; Problem No-33***

8. Discuss the components of master budget.

[Ans : Page No. 347; Ques. No: 6.21]

9. Jayan Ltd. produces a single product data for last year operations are as folows :

Units produced	21,500
Variable cost per unit :	
Direct materials	Tk. 5.00
Direct labour	Tk. 8.00
Variable manufacturing overhead	Tk. 2.00
Variable selling and administrative expense	Tk. 1.00
Fixed cost :	
Fixed manufacturing overhead	Tk. 86,000
Fixed selling and administrative expense	Tk. 40,000

Required :

(i) Calculate unit product cost under variable costing.

(ii) Calculate unit product cost under absorption costing.

Solution : ***Page No-226; Problem No-05***

Part-C

[Answer any five questions.] Marks-10×5 = 50

10. (a) Discuss the tools of management accounting.

[Ans : Page No. 153; Ques. No. 1.10]

(b) Explain the limitations of management accounting.

[Ans : Page No. 152; Ques. No. 1.06]

11. Following are the monthly budget for the manufacturing overhead of a concern for the two level of activities :

Capacity	60%	100%
Budgeted production unit	1,200	2,000
Indirect wages	Tk. 1,200	Tk. 2,000
Consumable stores	Tk. 900	Tk. 1,500
Maintenance	Tk. 1,200	Tk. 1,500
Power and fuel	Tk. 1,600	Tk. 2,000
Depreciation	Tk. 6,000	Tk. 6,000
Insurance	Tk. 2,000	Tk. 2,000

Required :

(i) Indicate which of the items are fixed, variable and semi-variable.

(ii) Prepare a flexible budget for 70%, 80% and 90% activity level.

Solution : ***Page No-447; Problem No-22***

Note : সমাধানকৃত অংকটির সাথে ২০২২ সালের অংকটির পার্থক্য হলো 60% activity level এ Maintenance cost 1,100 টাকার স্থলে 1,200 টাকা দেওয়া আছে। তাই ২০২২ সালের অংকটি সমাধানের সময় 1,200 টাকা ধরে সমাধান করতে হবে।

12. (a) Distinguish between cost and expense.

[Ans : Page No. 165; Ques. No. 2.10]

(b) Find the missing figure from the following information :

SL	Direct material used	Direct labor	Factory overhead	Manufacturing cost
1	?	5,000	10,000	50,000
2	40,000	5,000	?	50,000
3	50,000	?	10,000	75,000
4	20,000	2,000	3,000	?

Solution : ***Page No-181; Problem No-10***

13. The following data related to ABC Company :

Particulars	Tk.
Finished goods (01-01-2020)	72,800
Raw materials (01-01-2020)	33,280
Purchase of materials	7,59,200
Productive wages	5,16,880
Finished goods (31-12-2020)	78,000
Raw materials (31-12-2020)	35,360
Work manager salary	50,000
Indirect wages	30,000
Fuel	15,000
Depreciation of plant	15,000
Indirect raw materials	10,000
Tools used in production	9,220
Administrative expense	30,161
Salary to the managing director	40,000

Required : Prepare a cost sheet for the year.

Solution : ***Page No-208; Problem No-38***

Note : ২০২২ সালের প্রশ্নে Cost sheet তৈরি করতে বলা হয়েছে কিন্তু প্রশ্নে Profit সংক্রান্ত কোনো তথ্য নেই। তাই উক্ত তথ্য অনুযায়ী Total cost নির্ণয় করা সম্ভব কিন্তু Sales price নির্ণয় করা সম্ভব নয়। বিকল্পভাবে Profit ধরে Sales price নির্ণয় করা যেতে পারে।

14. XYZ Manufacturing company has adopted standard costing furnishes the following information :

Standard data :

100 kg materials for finished product of 70 kg.

The price of materials being Tk. 10 per kg.

Actual data :	
Output	1,05,000 kg
Material used	1,40,000 kg
Cost of material	Tk. 12,60,000

Calculate :

(i) Material cost variance.

(ii) Material price variance.

(iii) Material usage variance.

Solution : ***Page No-466; Problem No-04***

15. Ayesha Manufacturing Company has the following forecast data available :

Particulars	September (Tk.)	October (Tk.)
Cash sales	40,000	60,000
Sales on credit	77,500	95,000
Cash purchase	20,000	20,000
Purchase on credit	1,00,000	80,000
Purchase discounts	6,000	3,000
Accounts payable beginning	10,000	12,000
Accounts payable ending	12,000	9,000
Cash operating expenses	46,500	10,000

Net sales on credit are collected 50% in the month of sales, 40% in the following and 10% in the second following months. Such sales in July August were Tk. 1,00,000 and Tk. 1,20,000 respectively. The September 1 cash balance is Tk. 13,000. Prepare a cash budget for September and October.

Solution : ***Page No-374; Problem No-20***

16. Chowdhury Ltd. produced 24,000 Units of products during first quarter of 2020. Units sold 20.000 @ Tk. 200 per unit. Cost of the product was :

Materials	Tk. 6,00,000
Direct labour	Tk. 5,00,000
Factory overhead :	
Fixed cost	Tk. 1,20,000
Variable cost	Tk. 1,44,000
Marketing and administrative expense	Tk. 60,000

Required :

(i) An income statement using full costing.

(ii) An income statement using direct costing.

Solution : ***Page No-243; Problem No-24***

17. (a) Discuss the various techniques of management accounting. ***[Ans : Page No. 153; Ques. No. 1.10]***

(b) Why do students of management need to study management accounting?

[Ans : Page No. 154; Ques. No. 1.22]

National University

[BBA (Hon's) 3rd Year;
Exam-2023 (Held in-18/05/2025)]
(Department of Management)
Subject Code : 232613
Subject Name : Management Accounting (In English)
Time : 4 hours; **Full marks :** 80

[N.B. Answer different questions of each group chronologically.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$

(a) What is management process?

Ans : The management process is one of the methods that aid the structuring, investigation, analysis, decision making and communicate or of business issues.

(b) What is conversion cost?

Ans : Conversion cost is the combined form of direct labour and manufacturing overhead.

(c) What is strategy?

Ans : Strategy refers to the plan a company uses to compete effectively in the market, increase profitability and achieve growth.

(d) What is period cost?

Ans : All costs that are matched against revenue on a time period basis; such costs consist of selling (marketing) and administrative expenses is called periodic cost.

(e) What is contribution margin?

Ans : The amount remaining from sales revenues after all variable costs have been deducted is called contribution margin.

(f) What is margin of safety?

Ans : The excess of budgeted (or actual) sales over the break-even volume is margin of safety.

(g) What is budgetary control?

Ans : The exercise of control in the organization with the help of budgets is known as budgetary control.

(h) What is master budget?

Ans : The master budget is a set of interrelated budget, that constitute a plan of action for a specified time period.

(i) What is step fixed cost?

Ans : A type of expenses that is more or less constant over a low level shift in activity, but which changes incrementally when activity shifts substantially.

(j) What is sunk cost?

Ans : Sunk cost is the cost that has already been incurred and that cannot be changed by any decision made now or in the future.

(k) What is ZBB?

Ans : Zero base budgeting is a technique of budgeting where in a manager is required to prepare the budget for his area of activities from scratch i.e. from zero.

(l) Elaborate : ICMAB.

Ans : The elaboration of ICMAB = Institute of Cost and Management Accountants of Bangladesh.

Part-B

[Answer any **five** questions.] Marks : 4 × 5 = 20

2. Discuss the importance of ethics in business.

[Ans : শুভঙ্কর হিসাবের (৪র্থ খণ্ড) বইয়ের Page No. 153; Ques. No. 1.09]

3. Discuss the classification of costs predicting to cost behavior. ***[Ans : Page No. 172; Ques. No. 2.30]***

4. Show the differences between expenditure and expense. ***[Ans : Page No. 166; Ques. No. 2.15]***

5. Maryam Ltd. Provided the following data for January 2022;

Accounts titles	Inventories	
	Beginning (Tk.)	Ending (Tk.)
Direct materials	60,000	1,10,000
Work-in-process	75,000	95,000
Finished goods	1,90,000	1,15,000
Cost incurred daring the period :		**Tk.**
Cost of goods available for sales		10,25,000
Total manufacturing cost		8,55,000
Factory overhead		2,05,000
Direct material used		2,50,000

Required :

(i) Direct labour cost

(ii) Direct materials purchased during the period.

Solution : ***Page No-181; Problem No-09***

6. Maniha Company produces a single product and supplies the following cost data :

Production during the year 2,00,000 units, sales during the year 1,50,000 units, production cost consisted of direct materials Tk. 15,00,000, direct labour Tk. 10,00,000, variable factory overhead Tk. 4,00,000 and fixed factory overhead Tk. 2,00,000.

Required : Compute the unit product cost and ending inventory value under direct costing and absorption costing.

Solution : ***Page No-227; Problem No-08***

7. Nur Ltd. will start a business from 1st January, 2022. Followings are the budgeted sale for 2022.

Estimated sales (in units)	January	February	March	April	May
	50,000	40,000	46,000	42,000	44,000

The company has a policy of carying an end of the month inventory at 100% of the following month's sales plus 50% of the second following month's sales.

Required : Prepare a production budget for the first three months.

Solution : ***Page No-365; Problem No-10***

8. Mihita Ltd. wants to invest Tk. 4,00,000 in a new project and cash inflows for the next 4 years are as follows :

Estimated earnings after tax	
Year	**Taka**
1	0
2	50,000
3	65,000
4	70,000
Working capital	45,000
Salvage value	40,000

Depreciation : Straight line method

Required : Calculate-

(i) Pay back period and

(ii) Average rate of return.

Solution : ***Page No-396; Problem No-45***

9. Which consideration should be considered to face with a make or buy decision?

[Ans : Page No. 160; Ques. No. 1.29]

Part-C

[Answer any **five** questions.] Marks : 10 × 5 = 50

10. (a) What is meant by management accounting?

[Ans : Page No. 150; Ques. No. 1.01]

(b) How does management accounting assist the management of business concern?

[Ans : Page No. 154; Ques. No. 1.14]

11. (a) Discuss the steps of budgetary control.

[Ans : Page No. 325; Ques. No. 5.20]

(b) Distinguish between budget and budgetary control. ***[Ans : Page No. 345; Ques. No. 6.13]***

12. Sahal Ltd. manufactures two types of product A and B. The cost data for the year ended December 31, 2022 is as follows :

Account titles	Taka
Direct materials	12,00,000
Direct labor cost	6,80,000
Production overhead	2,10,000
	20,90,000

Other data :

Account titles	Product A	Product B
Production	60,000 units	1,50,000 units
Sales	50,000 units	1,30,000 units
Selling price per unit	Tk. 30	Tk. 10
Materials use ratio per unit	5	2
Wages ratio per unit	2	1

Production overhead was the same rate per unit for both types.

Administrative overhead for each was 100% of direct wages.

Marketing expenses were Tk. 1.00 per unit for both types.

Required :

(i) Cost of goods sold statement;

(ii) Income statement for each type of product.

Solution : ***Page No-207; Problem No-37***

13. Padma Ltd. is comparing its present absorption costing practice with variable costing methods.

An examination of its records reveals the following information :

Budgeted production	50,000 units
Sales price per unit	Tk. 30
Standard variable manufacturing cost per unit	Tk. 12
Variable marketing expense per unit	Tk. 3
Fixed factory overhead	Tk. 1,50,000
Fixed marketing and administrative expense	Tk. 25,000

For the year of 2022 the following data are available :

Actual production	45,000 units
Actual sales	40,000 units
Opening inventory	3,000 units
Unfavorable variance from standard cost	Tk. 10,000

Required :

(i) Prepare income statements under variable costing and absorption costing.

(ii) Prepare reconciliation statements.

Solution : ***Page No-246; Problem No-26***

14. Mr. Zakaria wants to invest Tk. 1,00,000. He has two proposals, which on project is selected by him. First proposal produce CFBT of Tk. 35,000 for next 5 years and second proposal produce the following CFBT :

1st year	Tk. 35,000
2nd year	Tk. 40,000
3td year	Tk. 32,000
4th year	Tk. 40,000
5th year	Tk. 45,000

If tax rate is 40% which project select by Mr. Zakaria?

Solution : ***Page No-407; Problem No-55***

15. Prepare a cash budget of Jamuna Ltd. for April to May, 2022 from the data given below :

(i) Sales, purchases, wages and other expenses of the budgeted period.

Particulars	January	February	March	April	May
Sales	10,00,000	9,00,000	9,50,000	10,00,000	9,50,000
Purchases	5,00,000	4,20,000	4,80,000	5,50,000	4,80,000
Wages	2,00,000	1,80,000	1,90,000	2,00,000	1,90,000
Other expenses	80,000	70,000	70,000	80,000	70,000

(ii) Credit allowed to the customer for two months and from suppliers one month.

(iii) Sales and purchase are made 20% on cash and the rest on credit.

(iv) Sales commission @ 2% on the sale in the month following month collection.

(v) Lag in payment of wages and other expenses $\frac{1}{2}$ a month.

(vi) Advance income tax payable in April Tk. 60,000.

(vii) Rent payable in cash per month Tk. 5;000.

(viii) The cash balance on 1st April Tk. 1,50,000.

Solution : ***Page No-381; Problem No-28***

16. Followings are the monthly budget of Chandana Ltd. for manufacturing product of two level of activity.

Capacity	60%	100%
Budgeted production (units)	60,000	1,00,000
Insurance	1,00,000	1,00,000
Depreciation	30,000	30,000
Indirect wages	60,000	1,00,000
Power and fuel	80,000	1,00,000
Maintenance	55,000	75,000
Consumable store	45,000	75,000

Required :

(i) Indicate which of the items are fixed, variable and semi-variable.

(ii) Prepare a flexible budget for 70%, 80% and 90% activity level.

Solution : ***Page No-445; Problem No-21***

17. Standard material for 200 units are given below :

Material X	90 kg @ Tk. 4 per kg
Material Y	80 kg @ Tk. 8 per kg
Material Z	50 kg @ Tk. 12 per kg
	220 kg
Standard loss	20 kg
	200 kg

Actual production 4,000 units and actual material usage is as follows :

Material X	2,000 kg @ Tk. 3.80 per kg
Material Y	1,700 kg @ Tk. 8.40 per kg
Material Z	900 kg @ Tk. 13.00 per kg

You are required to calculate :

(a) Material yield variance

(b) Material mix variance

(c) Material usage variance

(d) Material price variance

(e) Material cost variance

Solution : ***Page No-482; Problem No-19***

National University

3BA Hon's 3rd Year; Exam-2024 (Held on- 18/01/2026)]

(Department of Management)

Subject Code : 232613

Subject Name : Management Accounting (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

Answer any **ten** questions : $1 \times 10 = 10$

a) **What is management accounting?**

Ans : Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.

(b) **What is ethics?**

Ans : The standards of conduct by which one's action are judged as right or wrong, honest or dishonest, fair or unfair.

(c) **What is incremental cost?**

Ans : An increase in cost between any two alternatives is called incremental cost.

(d) **What is JIT?**

Ans : JIT is production and inventory control system in which materials are purchased and units are produced only as needed to customer demand.

(e) **Elaborate : AICPA.**

Ans : American Institute of Certified Public Accountants.

(f) **What is full costing?**

Ans : A costing method that includes all manufacturing cost-direct materials, direct labour and both variable and fixed manufacturing overhead in the cost of a unit of product.

(g) **What is standard?**

Ans : The word standard is desired attainable objectives, a performance, a goal and model.

(h) **What is variance?**

Ans : According to CIMA variance analysis is a process of determining variance and causes of its.

(i) **What is production budget?**

Ans : The production budget shows the unit to produce to meet anticipated sales.

(j) **What is capital rationing?**

Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

(k) **Define IRR.**

Ans : The internal rate of return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.

(l) **What is markup.**

Part-B

[Answer any **five** questions.] Marks : $4 \times 5 = 20$

2. "All future cost are relevant"—Explain. **[Ans : Page No.** বিতাভিকেশ-ব্যবস্থাপনা হাজিপ্রেস (৪র্থ খণ্ড) বইয়ের **173; Ques. No. 2.35]**

3. Show the difference between management accounting and cost accounting. ***[Ans : Page No. 155; Ques. No. 1.15]***

4. Write down the assumptions of cost volume profit analysis. ***[Ans : Page No. 274; Ques. No. 4.18]***

5. From the following data calculate cost of closing inventory of direct material :

Accounts titles	Taka
Opening stock of direct material	20,500
Purchases of direct material	71,200
Carriage inward	9,100
Purchase return	14,200
Further purchase of direct material	5,200
Raw material (direct) consumed	71,910

Solution : ***Page No- 541 ; Question No-05***

6. ABC Co. furnishes the following data :

Sales	11,000 unit @ Tk. 15
VC	Tk. 10 per unit
FC	Tk. 22,500

Calculate :

(i) BEP

(ii) Required sales to earn a profit of Tk. 40,000

Solution : ***Page No- 541 ; Question No-06***

7. AR Manufacturing Co. wants to invest Tk. 5,00,000 in a new project. The CFAT for next 5 years expects equally of Tk. 1,35,000. The cost of the capital is 10.25%. Calculate NPV.

Solution : ***Page No- 541 ; Question No-07***

8. The standard estimate for manufacturing 1,000 units of a commodity is 400 kg's @ Tk. 5. But when 2,000 units of the commodity are manufactured, it is found that 820 kg of materials are consumed at Tk. 7 per kg.

Calculate :

(i) Material price variance

(ii) Material use variance.

Solution : ***Page No- 542 ; Question No-08***

9. Lily Corporation produced 25,000 units (normal capacity) of product during the year. 20,000 units were sold @ Tk. 25 per unit.

Cost of this production was :

Accounts titles	Taka
Direct material	62,500
Direct labour	62,500
Factory overhead :	
Variable cost	1,25,000
Fixed cost	96,000

Marketing and administrative expenses for the year total Tk. 70,000; all are fixed expenses. Prepare an income statement under variable costing.

Solution : ***Page No- 542 ; Question No-09***

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on- 18/01/2026)]

(Department of Management)

Subject Code : 232613

Subject Name : Management Accounting (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$

(a) What is management accounting?

Ans : Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.

(b) What is ethics?

Ans : The standards of conduct by which one's action are judged as right or wrong, honest or dishonest, fair or unfair.

(c) What is incremental cost?

Ans : An increase in cost between any two alternatives is called incremental cost.

(d) What is JIT?

Ans : JIT is production and inventory control system in which materials are purchased and units are produced only as needed to customer demand.

(e) Elaborate : AICPA.

Ans : American Institute of Certified Public Accountants.

(f) What is full costing?

Ans : A costing method that includes all manufacturing cost-direct materials, direct labour and both variable and fixed manufacturing overhead in the cost of a unit of product.

(g) What is standard?

Ans : The word standard is desired attainable objectives, a performance, a goal and model.

(h) What is variance?

Ans : According to CIMA variance analysis is a process of determining variance and causes of its.

(i) What is production budget?

Ans : The production budget shows the unit to produce to meet anticipated sales.

(j) What is capital rationing?

Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

(k) Define IRR.

Ans : The internal rate of return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.

(l) What is markup.

Ans : It is an amount by which price exceeds cost.

Part-B

[Answer any **five** questions.] Marks : $4 \times 5 = 20$

2. "All future cost are relevant"—Explain. **[Ans : Page No.** ব্যবস্থাপনা ইতিহাস (৪র্থ খণ্ড) বইয়ের **173; Ques. No. 2.35]**

3. Show the difference between management accounting and cost accounting. ***[Ans : Page No. 155; Ques. No. 1.15]***

4. Write down the assumptions of cost volume profit analysis. ***[Ans : Page No. 274; Ques. No. 4.18]***

5. From the following data calculate cost of closing inventory of direct material :

Accounts titles	Taka
Opening stock of direct material	20,500
Purchases of direct material	71,200
Carriage inward	9,100
Purchase return	14,200
Further purchase of direct material	5,200
Raw material (direct) consumed	71,910

Solution : ***Page No- 541 ; Question No-05***

6. ABC Co. furnishes the following data :

Sales	11,000 unit @ Tk. 15
VC	Tk. 10 per unit
FC	Tk. 22,500

Calculate :

(i) BEP

(ii) Required sales to earn a profit of Tk. 40,000

Solution : ***Page No- 541 ; Question No-06***

7. AR Manufacturing Co. wants to invest Tk. 5,00,000 in a new project. The CFAT for next 5 years expects equally of Tk. 1,35,000. The cost of the capital is 10.25%. Calculate NPV.

Solution : ***Page No- 541 ; Question No-07***

8. The standard estimate for manufacturing 1,000 units of a commodity is 400 kg's @ Tk. 5. But when 2,000 units of the commodity are manufactured, it is found that 820 kg of materials are consumed at Tk. 7 per kg.

Calculate :

(i) Material price variance

(ii) Material use variance.

Solution : ***Page No- 542 ; Question No-08***

9. Lily Corporation produced 25,000 units (normal capacity) of product during the year. 20,000 units were sold @ Tk. 25 per unit.

Cost of this production was :

Accounts titles	Taka
Direct material	62,500
Direct labour	62,500
Factory overhead :	
Variable cost	1,25,000
Fixed cost	96,000

Marketing and administrative expenses for the year total Tk. 70,000; all are fixed expenses. Prepare an income statement under variable costing.

Solution : ***Page No- 542 ; Question No-09***

Part-C

[Answer any **five** questions.] Marks : 10 × 5 = 50

10. (a) Describe the role of management accounting in the decision making process in a business organization.
[Ans : Page No. 158; Ques. No. 1.24]

(b) Discuss the techniques of management accounting. *[Ans ; Page No. 153; Ques. No. 1.10]*

11. (a) "Budgetary control is a good tool of management"—Explain.
[Ans : Page No. 346; Ques. No. 11(a)]

(b) Discuss the causes of failure of budgetary control in Bangladesh.
[Ans : Page No. 542; Ques. No. 12 (a)]

12. (a) Differentiate between cash budget and flexible budget. *[Ans : Page No. 543; Ques. No. 12 (a)]*

(b) Discuss the various techniques of capital budgeting. *[Ans : Page No. 354; Ques. No. 6.48]*

13. Rasel Company manufactures and sells a single product. The following data is extracted from the books of Rasel Company :

Accounts titles	Taka
Annual sales	6,00,000
Profit volume ratio	30%
Margin of safety ratio	40%

You are asked to calculate :
(i) Break even sales
(ii) Margin in safety
(iii) Annual profit
(iv) Target sales to earn a profit of Tk. 40,000
(v) Profit on sales of Tk. 3,00,000.

Solution : *Page No- 543 ; Question No-13*

14. The details of investment of ABC Ltd. are given below :

Initial cash outlay (Tk.)	2,20,000
Salvage value (Tk.)	20,000
Working capital (Tk.)	20,000

Expected life 5 years and cash flow are given below :

Year	Taka
1	50,000
2	60,000
3	75,000
4	80,000
5	1,00,000

The company cost of capital is 10% and corporate tax 50%. Find out :
(i) Payback period (PBP)
(ii) Net present value (NPV)
(iii) Internal rate of return (IRR).

Solution : *Page No- 544 ; Question No-14*

15. River Corporation uses a standard cost system in accounting for one of its product. The standard cost per unit is :

Accounts titles	Taka
Direct materials	8.00
Direct labour	7.00
Variable factory overhead	2.00
Fixed factory overhead (Normal capacity : 60,000 units)	3.00
Total	20.00

All variance are closed to cost of goods sold. On June 1, there were 10,000 units of product on hand. During June 50,000 units were produced and 45,000 units were sold. Cost incurred during June were :

Accounts titles	Taka
Direct materials	3,96,000
Direct labour	3,61,000
Variable factory overhead	1,06,000
Fixed factory overhead	1,80,000
Variable marketing and administrative expense	55,000
Fixed marketing and administrative expense	70,000

Required : Prepare income statement under variable costing and absorption costing.

Solution : *Page No- 546 ; Question No-15*

16. Naim Ltd. has been operating at 50% capacity (5,000 units). The following information are obtain from the records of the company for the 2024 :

Accounts titles	Taka
Direct materials	75,000
Direct wages	40,000
Direct expenses	21,000
Works overhead (50% variable)	13,000
Administrative overhead (fixed)	24,000
Selling and marketing overhead (40% variable)	17,000
Sales	2,40,000

The boost up sales above 75% level of activity, a reduction of 5% in the selling price is contemplated. On the basis of above information, you are required to prepare a flexible budget at 60%, 75% and 90% capacity level.

Solution : *Page No- 547 ; Question No-16*

17. Shumon Manufacturing Company has adopted standard costing furnishes the following information :

Standard data :
100 kg materials for finished product of 70 kg. The price of materials being Tk. 10 per kg.

Actual data :

Output	4,20,000 kg
Materials used	5,60,000 kg
Cost of materials	Tk. 50,40,000

Calculate :
(i) Materials cost variance
(ii) Materials price variance
(iii) Materials usage variance.

Solution : *Page No- 548 ; Question No-17*